Global Equity Strategy

Barclays Equity Factor Insights: October 2026

★ SIGNATURE

Sticky inflation & rising rates in US benefit Value vs Growth & Large vs Small. We keep all US views unchanged. In EU, rates & stabilizing French political risk could be tailwind for Value, keeping us positive, while healthier earnings will help Growth & Small Caps; EU Momo is now more AI-sensitive.

The methodology behind US & EU factor basket construction can be viewed in Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 2 Apr 2025.

Growth / Value: In the US, we stay **Positive on Value** and **Neutral on Growth**, as resilient activity, elevated rates, tighter financing conditions, and increasing scrutiny of AI investment and semiconductor earnings favor a broadening beyond concentrated AI winners. **In Europe** as well, we are **Positive on Value**, supported by stronger earnings revisions, higher-for-longer rates, and attractive valuations, with narrower sovereign spreads offering an additional catalyst as French political risk stabilizes. On **EU Growth**, we stay **Neutral**: improving earnings breadth could provide support, but the factor is particularly vulnerable to further yield upside should the ECB reinforce its higher-for-longer message.

Size: In the US, we favor Large over Small because elevated rates and restrictive financing conditions ly pressure smaller companies with higher leverage and weaker profitability. Since the end of 1H26, the Russell 2000 and S&P 600 have fallen more than 7%, while the S&P 500 has gained 4.0%. **In Europe**, we are **Neutral on Small Caps**: supportive valuations and improving earnings breadth offer upside, but mixed macroeconomic and earnings signals keep the case less compelling, while Large Caps remain attractive as a rates trade.

Momentum: In the US, we are **Neutral** as continued AI and energy strength, alongside inexpensive relative valuations, is balanced by the risk that midterm elections disrupt prevailing trends. **In Europe**, we are also **Neutral**: positioning has reset after a sharp unwind, increasing sensitivity to renewed AI upside, but earnings momentum remains weak and a sustained recovery has yet to emerge.

Quality: In the US, we are **Neutral** because resilient double-digit earnings growth reduces the need for defensiveness, while midterm-election uncertainty preserves demand for more stable styles. **In Europe**, we are **Negative** as sticky inflation and commodity-led leadership remain

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headwinds, earnings stability and revisions remain weak, and valuations have merely normalized rather than becoming sufficiently attractive to support a sustained rebound.

Volatility: In the US, we are **Negative** on **High-over-Low Volatility**, effectively favoring lower-volatility stocks, because elevated rates, political uncertainty, and fragile risk sentiment threaten a factor with the lowest share of profitable companies among the styles we track. **In Europe**, we are **Neutral** on **Low Vol**: the factor remains a useful hedge against slowing macro momentum, but higher rates and limited earnings support constrain the upside.

Yield (Dividend + Buyback): In the US, we are **Neutral** on **Yield** because elevated risk-free rates reduce the relative appeal of dividends and buybacks, while exposure to financials, energy, and other non-AI sectors offers upside if market leadership broadens.

CONTENTS

US factor analysis and views: October 2026 4
Europe factor analysis and views: October 2026 15

US factor analysis and views: October 2026

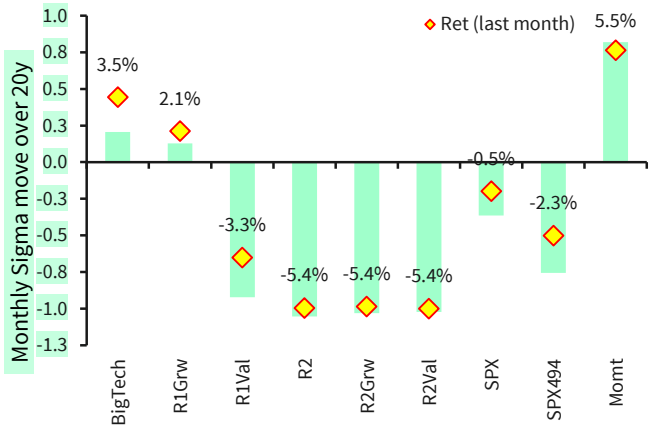
Equity market performance in September 2026:

- The S&P 500 declined a modest 0.5%, as weakness in Banks (-7.3%) and Capital Markets (-9.9%) more than offset continued strength in AI-linked areas of the market. Semiconductor stocks gained 7.2%, while Big Tech advanced 8.1%, helping limit the broader market's downside.

- Small caps underperformed sharply, falling 5.4% as the surge in bond yields weighed on the more rate-sensitive segment of the market. The move marks a notable reversal from the first half of 2026, when small caps outperformed large caps. The decline was led by Biotech and Banks, which sold off by 6.0% and 4.4%, respectively.

- Within large caps, Growth significantly outperformed Value, with the Russell 1000 Growth gaining 2.1% versus a 3.3% decline for the Russell 1000 Value. The divergence was largely driven by Growth's greater exposure to TMT sectors, particularly Semiconductors, highlighting the renewed strength of the AI theme as the primary driver of Growth's relative outperformance.

FIGURE 1. Momentum rose in September, while small caps (both Growth and Value) sold off



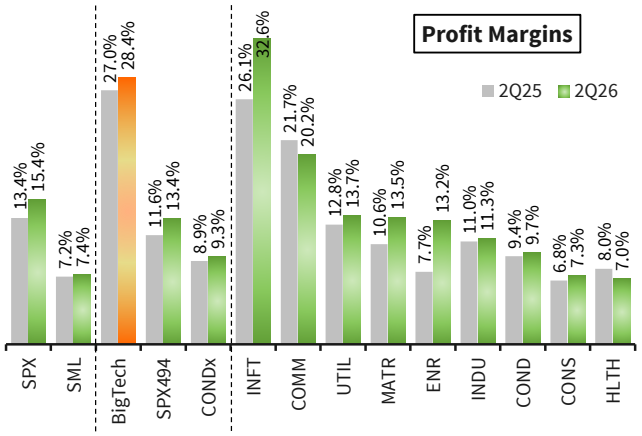
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 2. In 3Q26, Energy saw a dramatic reversal of its 2Q26 losses, gaining 16.5%; Utilities lost 13%

	24Q3	24Q4	25Q1	25Q2	25Q3	25Q4	26Q1	26Q2	26Q3
SPX	5.5%	2.1%	-4.6%	10.6%	7.8%	1.7%	-4.6%	14.9%	2.0%
COMM	1.4%	8.6%	-6.4%	18.2%	11.8%	6.4%	-7.1%	8.1%	3.5%
COND	7.6%	14.1%	-14.0%	11.3%	9.4%	-0.1%	-9.3%	9.1%	-5.3%
CONS	8.3%	-3.8%	4.6%	0.5%	-2.9%	-0.3%	7.0%	-0.3%	-2.4%
ENR	-3.1%	-3.1%	9.3%	-9.4%	5.1%	-0.4%	37.2%	-14.0%	16.5%
FINL	10.2%	6.6%	3.1%	5.1%	2.9%	0.4%	-9.8%	8.6%	-0.5%
HLTH	5.7%	-10.7%	6.1%	-7.6%	3.3%	10.5%	-5.3%	8.3%	6.0%
INDU	11.1%	-2.7%	-0.5%	12.6%	4.5%	-0.6%	4.3%	14.5%	-10.0%
INFT	1.4%	4.7%	-12.8%	23.5%	13.1%	0.9%	-9.3%	31.6%	7.0%
MATR	9.1%	-12.8%	2.3%	2.6%	2.6%	-0.6%	9.3%	1.6%	-3.2%
RE	16.3%	-8.8%	2.7%	-1.0%	1.7%	-4.4%	1.9%	7.5%	-6.3%
UTIL	18.5%	-6.2%	4.1%	3.5%	6.9%	-2.5%	7.5%	-1.2%	-13.0%

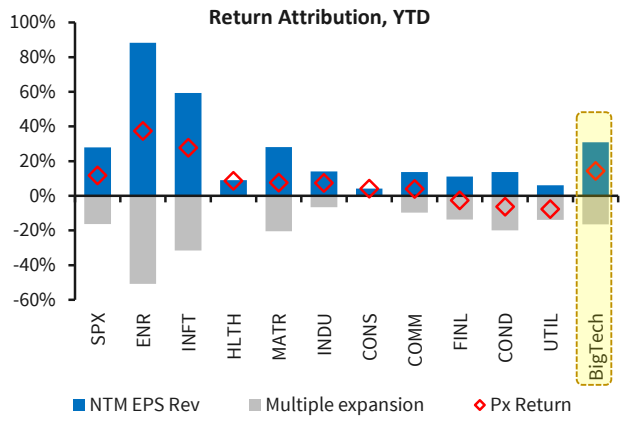
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 3. Margins for Tech, especially outside of Big Tech, far outstrip other sectors



Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 4. Energy has seen the highest earnings growth and steepest valuation decline among sectors



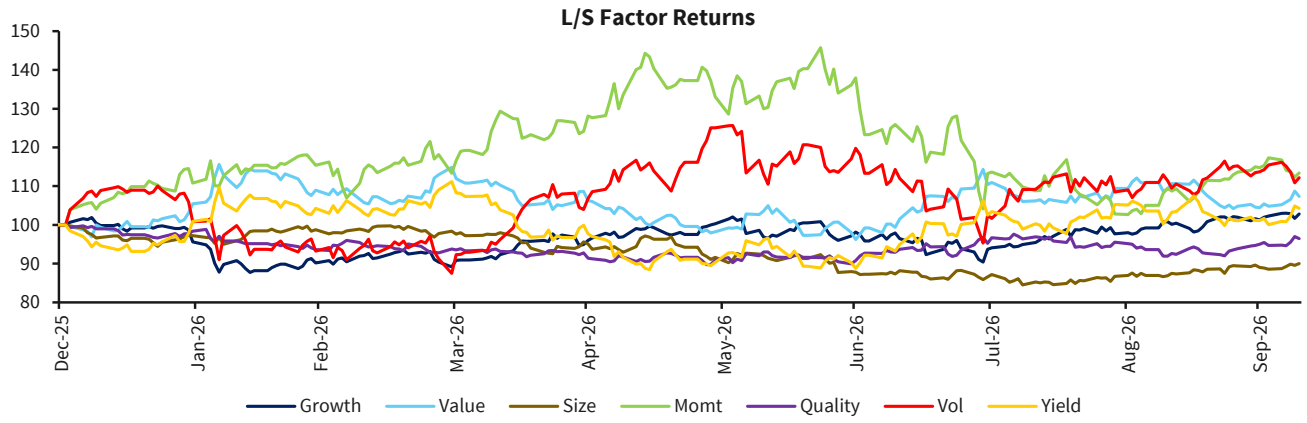
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Basket Performance in the Past Month

Our **all-cap liquidity-weighted** US Factor baskets (see Global Equity Strategy - Updating Barclays Equity Factor Baskets for Liquidity Weighting, 4/2/2025) attempt to capture factor premiums while controlling for stock and sector weights.

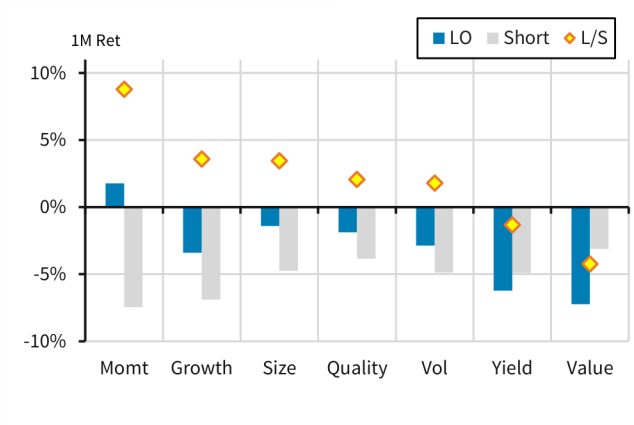
- Growth outperformed Value by 5.3% over the past month as the AI theme regained momentum. Semiconductors and Big Tech, led by META and GOOGL, were the primary drivers of the move, accounting for roughly half of Growth's excess return versus Value.
- Momentum was the strongest-performing style factor, advancing approximately 10% during the month. The gains were largely powered by the AI complex, with strength in Semiconductors and Electrical Equipment, together with weakness in Software, contributing roughly half of the style's overall return.
- Large-over-Small Size gained a modest 3.4% as the surge in interest rates pushed the 10-year U.S. Treasury yield above the critical 5% threshold. Given the greater sensitivity of small caps to financing conditions, the current rate environment has reinforced the performance advantage of large caps and remains an important driver of the style's outlook.

FIGURE 5. Large-over-Small Size has started recovering since the beginning of the interest rate surge, while Momentum currently leads all styles year-to-date; Value still leads Growth YTD



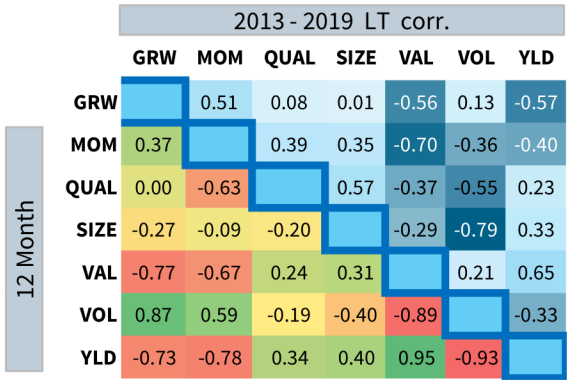
Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility. Data as of 10/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 6. Momo gained nearly 10% last month, while Value declined



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 10/07/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 7. Growth & Vol are highly correlated, as are Value & Yield



Total returns are used here for the Baskets. Past performance is not necessarily indicative of future results. Size measures returns of large caps over small caps, while Volatility captures returns of high volatility stocks vs. those with low volatility.
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

US Factor Discussion & Recommendations

We mainly use three criteria to formulate our factor views – relative fundamentals of our factor baskets vs. their own history, current macro events along with past event studies, and our market outlook ahead.

FIGURE 8. Current US Factor Recommendations - October 2026

Factor	Description	View	Rationale
Growth	High - low	*Neutral*	Rising rates, wider credit spreads, and mounting AI-related financing pressures are making the market less willing to overlook execution risks, while concentrated earnings expectations leave AI-linked leaders vulnerable to revisions.
Size	Large over Small	**Positive**	Higher interest rates and restrictive financing conditions are weighing on smaller companies, whose elevated leverage and weaker profitability leave them more exposed as borrowing costs remain high.
Momentum	Long / Short trend	*Neutral*	Momentum is supported by continued strength in AI-linked sectors and energy-related names, and remains attractively valued versus its history. However, upcoming midterm-election volatility could disrupt prevailing trends, something that is backed up by history.
Quality	High - low	*Neutral*	Resilient earnings growth reduces the need for defensive, high-quality companies, but elevated political uncertainty and the potential for election-driven volatility continue to support demand for more stable businesses.
Value	Cheap - expensive	**Positive**	Persistent inflation, resilient growth, and tighter financial conditions favor economically sensitive and under-owned areas of the market, particularly if leadership broadens beyond the narrow set of AI-driven winners.
Volatility	High vol - low vol	**Negative**	Elevated rates, election uncertainty, and fragile risk sentiment create a difficult backdrop for lower-quality, more speculative companies, leaving the factor vulnerable if market conditions deteriorate.
Yield	High - low	*Neutral*	Higher bond yields reduce the relative appeal of income-oriented equities, but the factor's light positioning, and exposure to financials and other non-AI sectors could benefit if leadership broadens beyond the crowded AI trade.

View as of 10/12/2026. Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Stay Positive on Value and Neutral on Growth for the following reasons:

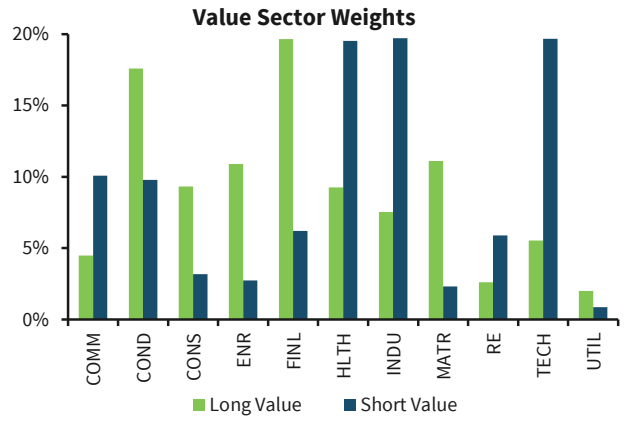
The macro backdrop continues to favor Value, with inflation still above target and economic growth holding up well. At the same time, signs of tighter financial conditions are becoming more evident. We have recently highlighted widening credit spreads across hyperscaler, data center, and neo-cloud issuers, alongside a material increase in hyperscaler CDS spreads (see Evolving AI Risk Premia, 30-Sep-26). The unprecedented wave of credit issuance is occurring as Treasury yields have moved sharply higher, raising the cost of capital. In this environment, investor fatigue with the dominant and highly crowded AI narrative could create a relative tailwind for under-owned segments of the market. As we have argued previously, Value effectively represents an "anti-AI" style factor and stands to benefit if leadership broadens beyond AI-linked winners (the current earnings growth concentration may be vulnerable to downward revisions in semiconductors, which have exhibited some of the largest forecast errors among S&P 500 industry groups, as argued in Checking the chip stack, 7-Oct-26). Moreover, Value also continues to benefit on account of its consumer orientation, as consumer spending has been holding up well (see The consumer who won't quit, 8-Oct-26). As a result, we continue to prefer Value over Growth in the near term.

FIGURE 9. Growth basket has a large tilt toward Tech & Energy and away from consumer-oriented sectors



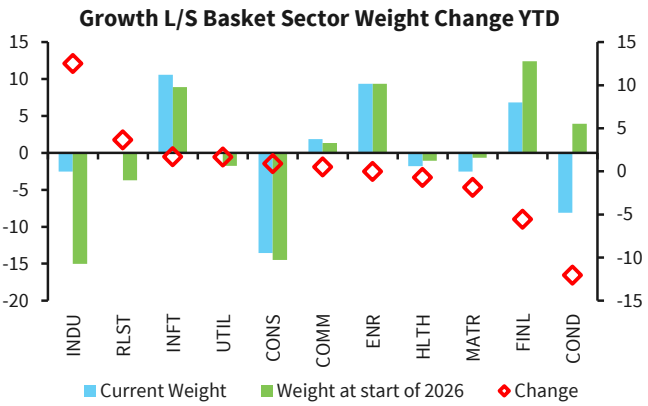
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 10. Value basket is tilted towards Financials & Materials and away from TMT



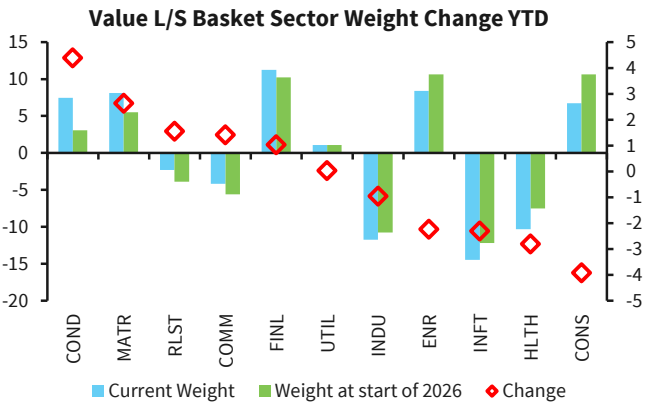
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 11. Growth has tilted sharply away from Financials and Discretionary and towards Industrials



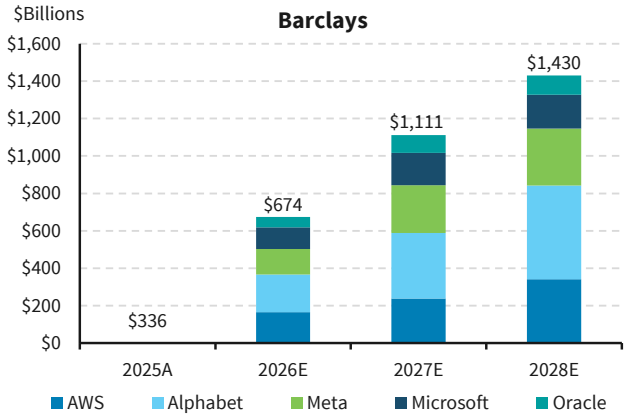
Data as of 10/07/2026
Source: Bloomberg, Barclays Research

FIGURE 12. Value is rotating away from consumer staples towards consumer discretionary as equities sell off on rates surge



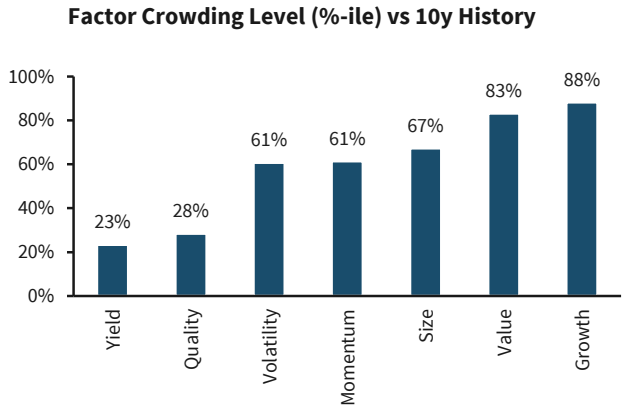
Data as of 10/07/2026
Source: Bloomberg, Barclays Research

FIGURE 13. We foresee annual AI infrastructure spend rising to over $1.4 trillion by 2028



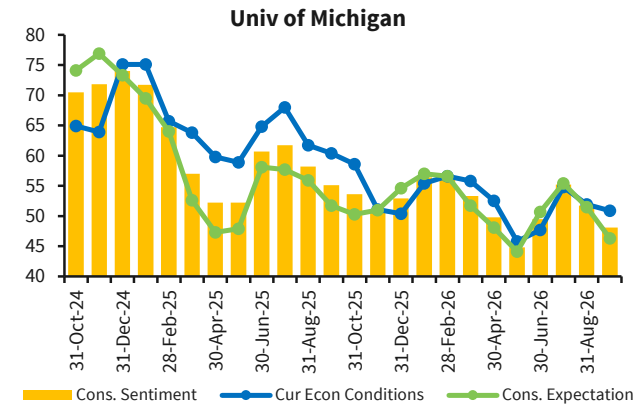
Data as of 10/08/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 14. Growth is the most crowded among styles vs its own long-term history



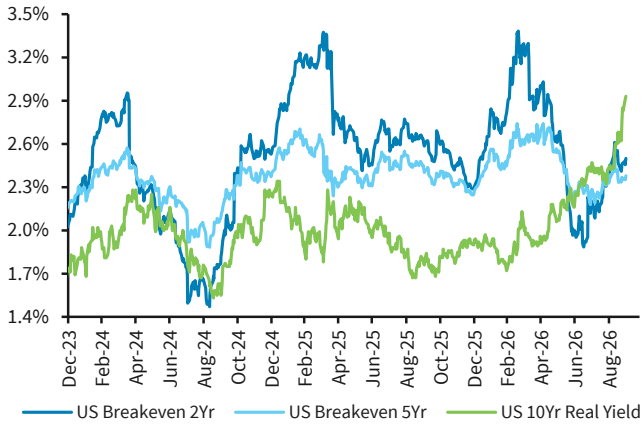
Data as of 10/08/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 15. Consumer sentiment is still weak despite recent improvement



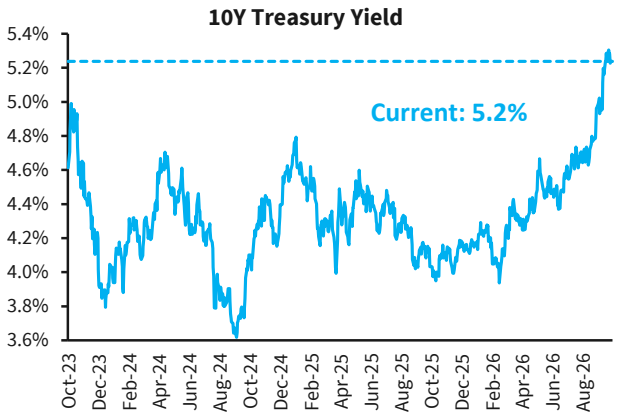
Data as of 09/30/2026
Source: Bloomberg

FIGURE 16. Short-term Inflation expectations have started rising again in recent weeks



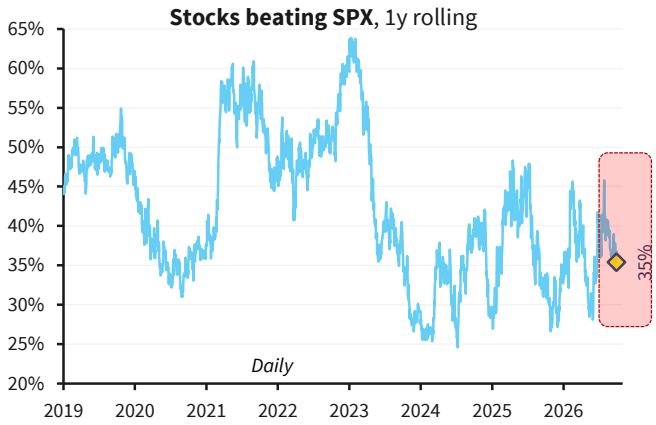
Data includes previous revisions, if any. Data as of 09/30/2026
Source: Bloomberg

FIGURE 17. **10-year rate is currently at 5.2%**



Data as of 10/12/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 18. **The market has broadened again over the past month**

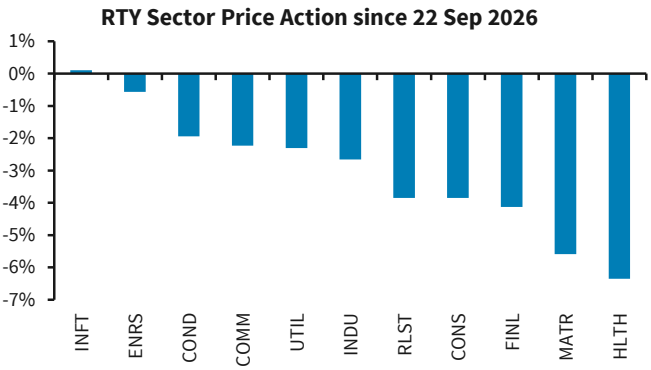


Data as of 09/30/2026
Source: Bloomberg, Barclays Research

We stay Positive on Large-over-Small for the following reasons:

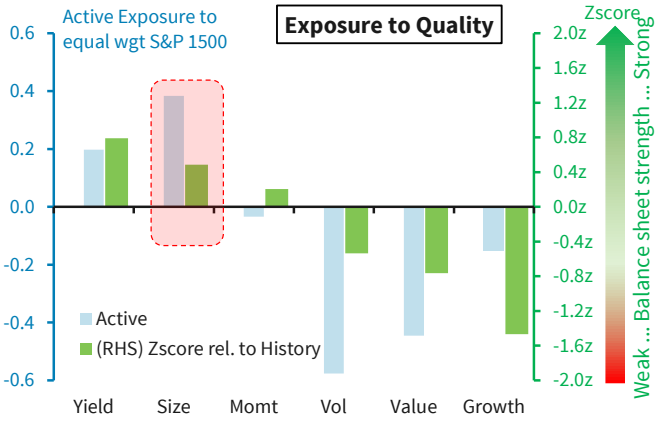
While our preference for large caps initially faced headwinds as strong risk appetite supported small-cap performance, particularly in biotech and banks, the backdrop shifted meaningfully in the second half of the year as interest rates moved sharply higher. This was the key risk we had identified for small caps, given their greater sensitivity to financing conditions. Since the end of 1H26, both the Russell 2000 and S&P 600 have declined by over 7%, while the S&P 500 has gained 4.0%, underscoring the divergence in performance. Importantly, the weakness in small caps has been broad-based, with nearly every sector outside Technology retreating since the 10-year Treasury yield decisively moved above 5%. With Barclays rates strategists expecting the 10-year yield to remain around current levels for the next several quarters (see US midterms: Priced for gridlock, 22-Sep-26), the macro environment is likely to stay challenging for smaller companies. At the same time, small-cap fundamentals remain unappealing, with leverage near post-COVID highs and the share of unprofitable companies still elevated relative to history. Against this backdrop of restrictive financing conditions and weak underlying fundamentals, we continue to favor large caps over small caps.

FIGURE 19. **Almost all smal cap sectors have declined since the 10-year US Tsy yield breached the 5% threshold**



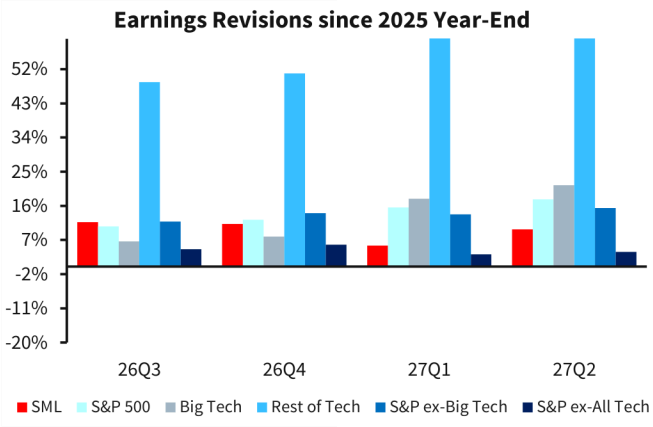
Source: Bloomberg, Barclays Research

FIGURE 20. **Large-over-Small has the strongest earnings and balance sheet strength among styles**



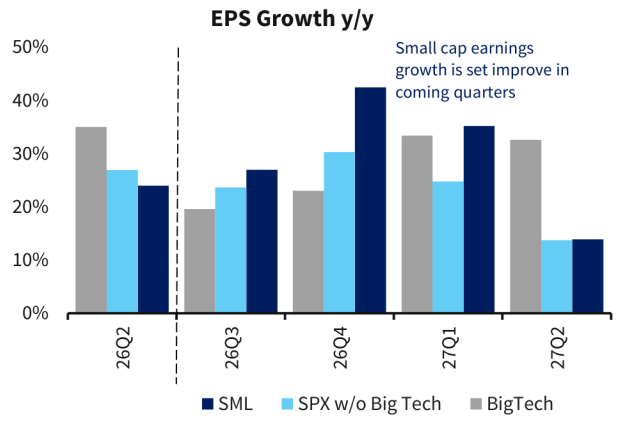
Source: LSEG Data & Analytics, Barclays Research

FIGURE 21. Small cap earnings revisions are near parity with large caps but lagging Tech



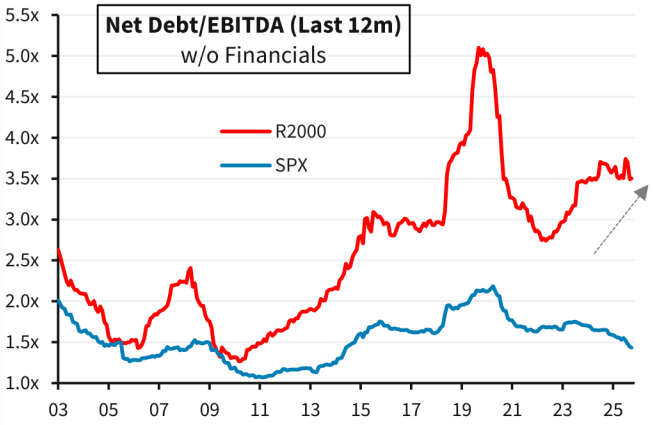
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 22. Earnings growth for small caps is expected to pick up in the next few quarters



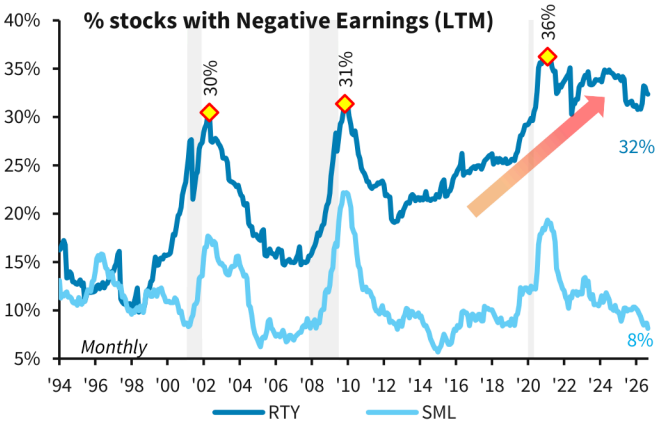
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 23. Small cap debt burden has inched up, and is now at the highest level since late 2021



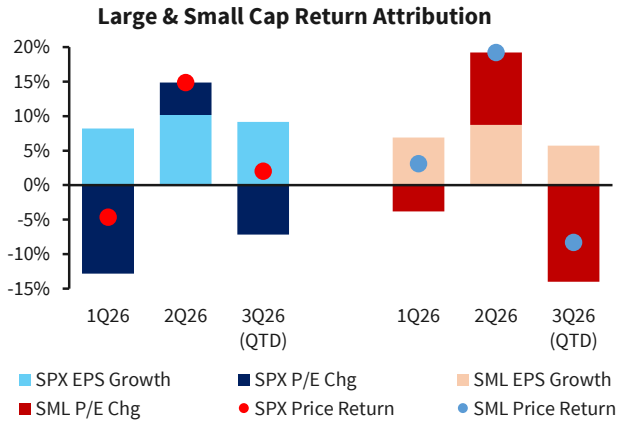
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 24. Share of unprofitable names in Russell 2000 has picked up and is now at 33%



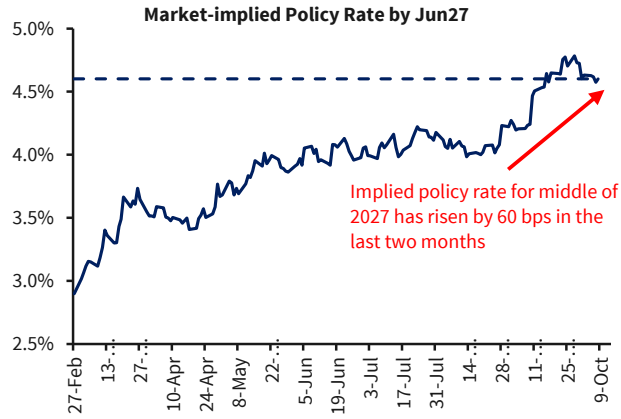
Data as of 09/30/2026
Source: LSEG Data & Analytics, Bloomberg, Barclays Research

FIGURE 25. Small caps' recent excess price gyrations vs large caps have been driven by larger swings in valuation



Data as of 10/07/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 26. Markets are now pricing between one and two hikes by 2026YE, a potential headwind for small caps

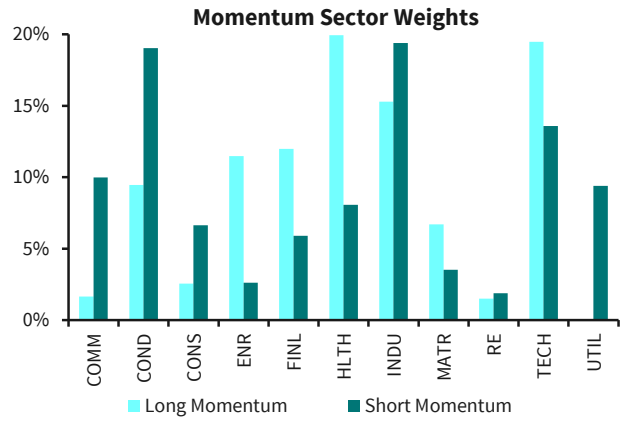


Data as of 10/07/2026
Source: Bloomberg, Barclays Research

Stay **Neutral** on **Momentum** for the following reasons:

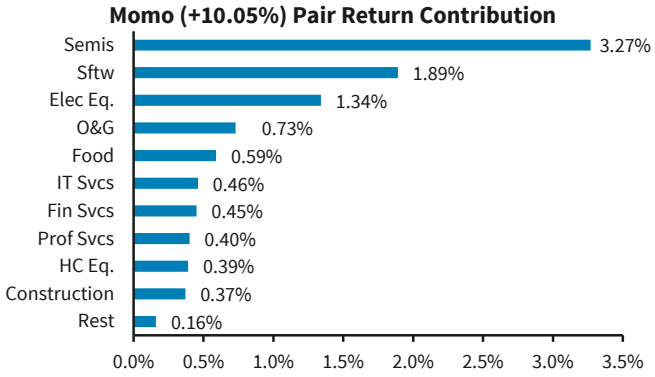
The factor has recovered meaningfully from its earlier drawdown, but the rebound has been driven largely by renewed strength in AI-related stocks. In particular, gains in Semiconductors and Electrical Equipment, partially offset by weakness in Software, account for nearly half of the 10.1% increase in our long/short Momentum basket since the end of August. Looking ahead, Momentum retains meaningful exposure to Semiconductors, Oil & Gas, and Biotech, while remaining underweight Electric Utilities, Specialty Retail, and Media. This positioning leaves the factor supported by two potentially favorable themes: continued earnings strength across AI-linked beneficiaries and elevated geopolitical risk in the Middle East. Moreover, among all the factors we track, Momentum is cheapest style vs its own history. However, a key threat to the style is the upcoming midterm elections, which could disrupt prevailing market trends and increase factor volatility. Empirically speaking, in almost every midterm election year since 2006, Momentum has sold off from the beginning of October through the end of November. Thus, with supportive and adverse forces largely offsetting one another, the outlook for Momentum is finely balanced, and we therefore maintain a neutral stance.

FIGURE 27. Momentum is currently highly tilted towards Energy and away from Tech (especially Software)



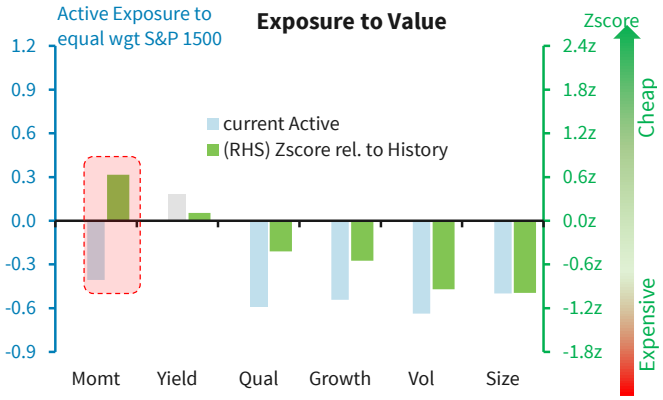
Data as of 09/30/2026
Source: LSEG Data & Analytics, Barclays Research

FIGURE 28. Momo's 10.1% uptick was driven by gains in Semis & Electrial Equipment and decline in Software



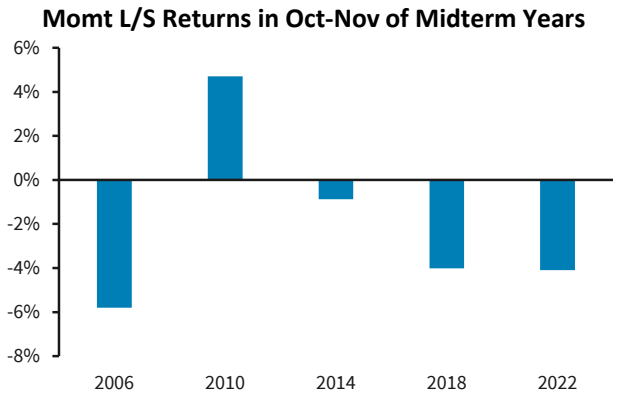
Data as of 10/08/2026
Source: Bloomberg, Barclays Research

FIGURE 29. Among styles we track, Momentum is currently the cheapest vs its own history



Source: LSEG Data & Analytics, Barclays Research

FIGURE 30. In four of the last five midterm election years, Momo sold off from September-end through November-end



Source: Bloomberg, Barclays Research

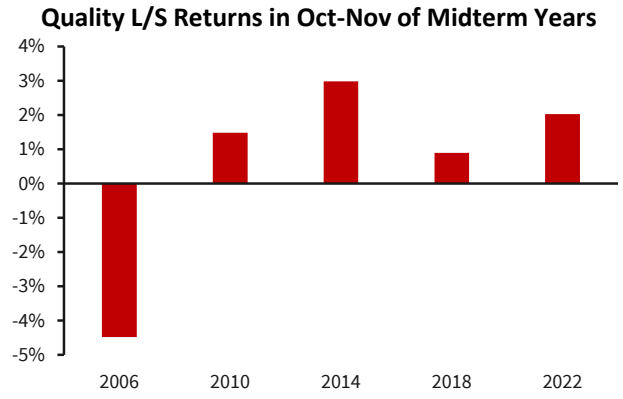
Stay Neutral on Quality: Despite several weeks of 10-year Treasury yields holding above 5%, there are few signs that equity fundamentals are meaningfully deteriorating. Our FY27 earnings forecasts still imply growth rate in the mid-teens, and even a significant downward revision to semiconductor earnings, which currently account for more than 70% of expected earnings growth, would leave aggregate earnings growth in the double digits. In this environment, the defensive characteristics that typically support Quality appear less compelling. At the same time, downside risks to equities remain elevated. The midterm elections represent an important potential catalyst for market volatility, and historically Quality has tended to outperform in the periods immediately surrounding midterm elections. With resilient earnings reducing the need for defensiveness, but political uncertainty preserving demand for quality franchises, the risk-reward profile appears balanced. As a result, we maintain a neutral stance on the Quality factor.

FIGURE 31. Quality has high long exposure to Financials & Industrials and high short exposure to Real Estate & Utilities



Source: LSEG Data & Analytics, Barclays Research

FIGURE 32. In the last four midterm election years, Quality gained from September-end through November-end



Source: Bloomberg, Barclays Research

Stay Negative on High-over-Low Volatility: Although the style staged a strong rebound during the second half of September, that momentum has faded quickly, and the outlook remains challenging. Looking ahead, High-over-Low Volatility faces several potential headwinds, including elevated interest rates and heightened political uncertainty surrounding the midterm elections. Importantly, our previous work shows that the factor has historically struggled during equity market drawdowns (see Rotation Rattles Risk-on, 11-Feb-26). This reflects its underlying composition: among the style factors we track, High-over-Low Volatility has the lowest share of profitable companies, making it particularly sensitive to shifts in risk sentiment and deteriorating market conditions. With multiple sources of potential stress still present and little evidence of a favorable catalyst on the horizon, we continue to view the risk-reward profile as unattractive and maintain our negative stance on the factor.

Stay Neutral on Yield (Dividends + Buybacks): The prospect of interest rates remaining elevated for an extended period continues to limit the appeal of traditional income-oriented equities, particularly as higher risk-free yields provide investors with an increasingly competitive alternative. However, along with being under-owned, Yield also shares some characteristics with Value as an effective "anti-AI" style factor. Its exposure is concentrated in sectors such as Banks, Insurance, Oil & Gas, and Software & IT Services, leaving it relatively in the market's dominant AI trade. As a result, any broadening of market leadership or signs of fatigue in the AI theme could provide a meaningful tailwind for the factor. While the macro backdrop remains challenging, these potential style-rotation benefits argue against an outright negative stance. On balance, the positive and negative forces appear broadly offsetting, leading us to maintain a neutral view on Yield.

Europe factor analysis and views: October 2026

Please note: our updated basket constituents are available here – Barclays Equity Factor Monitor, 2 Oct.

Key insights

- **Value's rates tailwind is being offset by fiscal concerns.** Value's recent lag can be traced to fiscal-driven spread widening rather than deteriorating fundamentals. As French political risk premia stabilize, narrower EU sovereign spreads would provide a cleaner macro backdrop for a renewed period of Value leadership.

- **A healthier earnings season could benefit Value, Growth and Small Caps.** Current positive EU CESI levels point to a broader earnings beat rate across STOXX 600. Historically, improving earnings breadth has coincided with stronger performance from Value, Growth and Small Caps and a broadening of market leadership.
- **A cleaner setup leaves Momentum leveraged to AI upside.** Momentum's positioning has largely reset, leaving the factor more sensitive to positive AI developments. A stronger AI narrative into earnings could help re-establish leadership.
- **Factor allocation.** Positive Value; Neutral Momentum, Growth, Small Caps and Low Vol; Negative Quality.

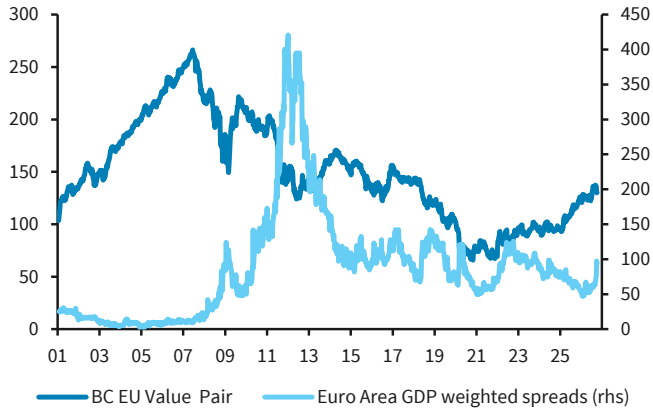
European Factor Themes

From a factor standpoint, we see three key themes shaping the market into October: (1) easing fiscal concerns could unlock Value leadership, (2) improving earnings breadth supports Value, Growth and Small Caps, and (3) a cleaner positioning backdrop leaves Momentum leveraged to any reacceleration in the AI trade.

1) A narrowing EU fiscal risk premium would favour Value

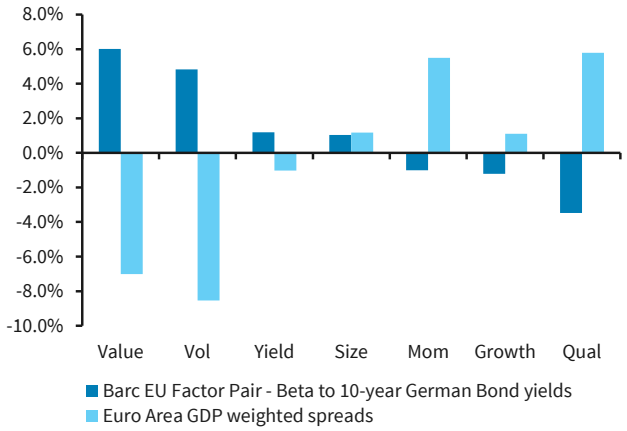
Rising Bund yields would normally provide a favourable backdrop for European Value, but the latest rates move has been accompanied by wider Euro Area sovereign spreads as fiscal concerns, particularly around France, have come back into focus. Given the factor's greater exposure to domestic revenues and Financials, spread widening can dilute the traditional benefit of higher rates by weighing on growth expectations and risk appetite. A normalisation of fiscal concerns and tighter spreads would therefore remove an important headwind and strengthen the case for renewed Value leadership.

FIGURE 33. Value's rate tailwind has been offset by wider Euro Area spreads



Source: Bloomberg, Barclays Research

FIGURE 34. Barc EU factors pairs sensitivities to German bond yields and Euro Area spread

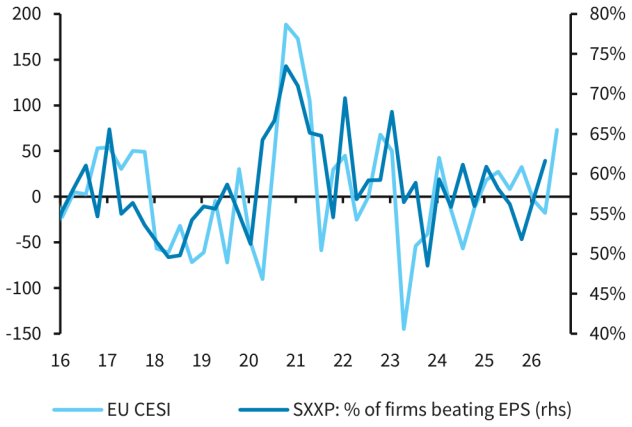


Source: Bloomberg, Barclays Research

2) Broad based earnings beats could favour Value, Growth and Small Caps

Resilience in economic surprises points to an improvement in earnings breadth over the coming earnings season. Historically, a current high EU CESI readings has coincided with a 60/70% of STOXX 600 companies beating EPS expectations, suggesting consensus may still be underestimating the resilience of corporate earnings. More importantly, periods characterised by broad-based earnings beats have typically delivered the strongest support to Growth, Value and Small Caps, creating scope for market leadership to broaden beyond the narrow cohort of recent winners.

FIGURE 35. Improving macro data suggest upside risk to STOXX 600 EPS beat rates



Source: Bloomberg, Barclays Research

FIGURE 36. Broad-based earnings beats have historically favoured Value, Growth and Small Caps

Average weekly excess returns by % of SXXP firms beating consensus EPS

		Value	Growth	Mom	Quality	Yield	Vol	Size
45%	50%	-0.57%	0.18%	0.32%	0.33%	-0.08%	-0.20%	-0.02%
50%	55%	0.20%	-0.08%	0.01%	-0.20%	0.04%	0.23%	-0.02%
55%	60%	0.30%	0.10%	-0.23%	-0.17%	0.02%	0.31%	-0.18%
60%	**65%**	**0.08%**	**0.30%**	**-0.36%**	**0.28%**	**-0.23%**	**0.30%**	**-0.32%**
65%	**70%**	**0.42%**	**0.20%**	**0.14%**	**-0.36%**	**0.05%**	**0.41%**	**-0.18%**
70%	75%	-0.17%	0.18%	0.23%	0.23%	0.28%	0.40%	-0.33%

Source: Bloomberg, Barclays Research

3) A cleaner setup leaves Momentum leveraged to AI upside

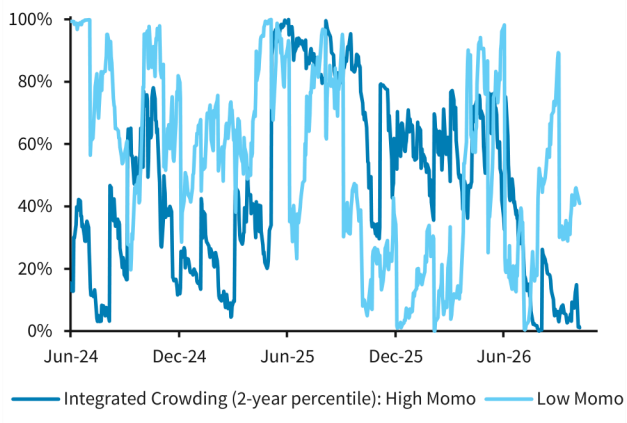
A recovery in the AI trade could provide renewed support for European Momentum, given the factor's meaningful exposure to a number of the market's key AI beneficiaries. Encouragingly, crowding within high-Momentum stocks sitting at 2-year lows, leaving positioning considerably cleaner than during previous episodes of factor leadership. Should AI-related newsflow reaccelerate into the upcoming earnings season, the combination of improving fundamentals and subdued positioning could create a favourable backdrop for Momentum to regain leadership.

FIGURE 37. AI winners recovery to support EU momentum rebound



Source: Bloomberg, Barclays Research

FIGURE 38. EU high momentum crowding remains at 2-year lows



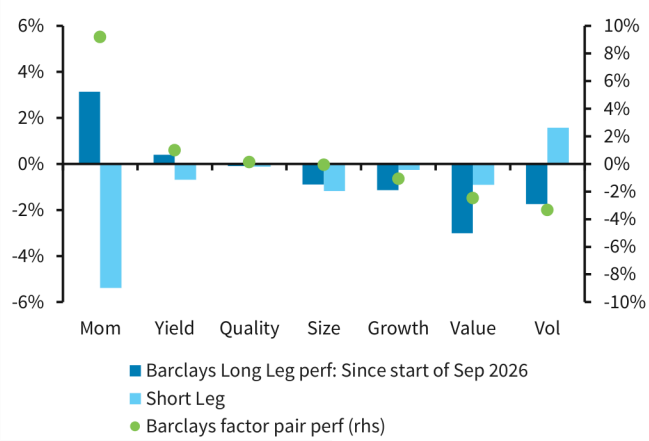
Source: MSCI, Barclays Research

European Factor Performance Review

Momentum and Yield are leading since September

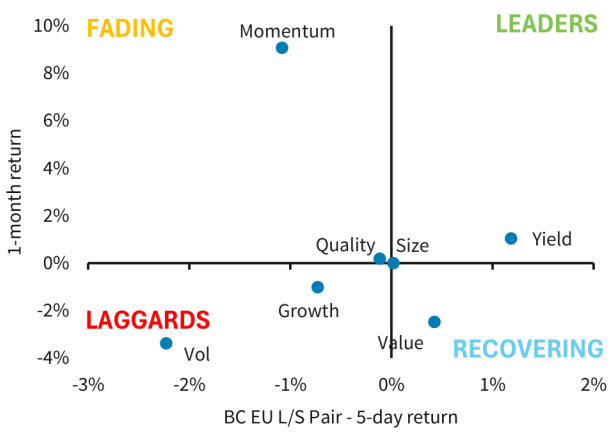
Momentum has been the standout factor over the past month, supported by strong performance on the long side and relative weakness among Low Momentum stocks. Yield also generated positive returns, while Quality and Size were broadly flat over that period. Growth and Value delivered a slightly negative factor-pair return driven by deeper weaknesses across long legs. Volatility was the clear laggard, driven by weakness in High Vol and resilience among Low Vol stocks. The factor-pair regime, however, points to a more nuanced picture. Yield remains in the leadership quadrant, while Momentum, despite leading outright returns, has moved into fading territory as short-term momentum turns lower. Value is showing signs of recovery but has yet to regain positive outright momentum. Meanwhile, Growth and Volatility remain in laggard territory, with Quality and Size broadly stable near the centre of the regime map.

FIGURE 39. Barclays European factor performance



Note: Past performance is not necessarily indicative of future results.
Source: Bloomberg, Barclays Research

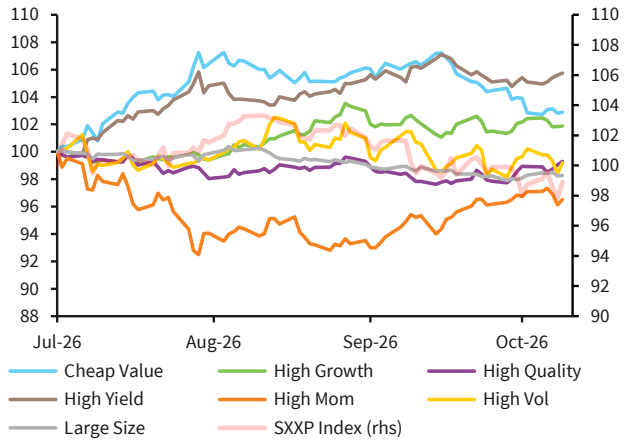
FIGURE 40. Barclays European factor pairs regime



Vol = Long High Vol/Short Low Vol; Size = Long Large Caps/Short Small Caps
Source: Bloomberg, Barclays Research

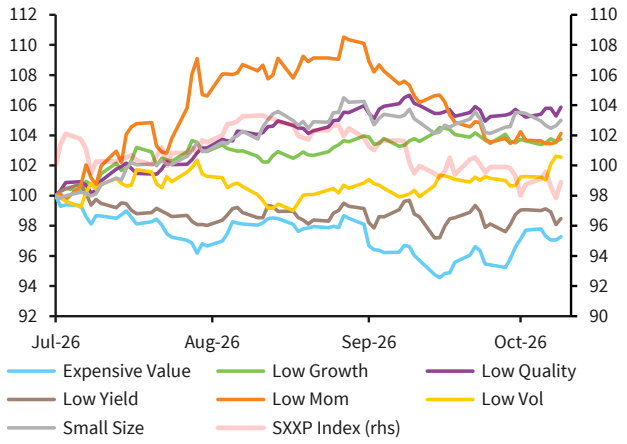
Over the past three months, factor leadership has rotated decisively towards cheaper and higher-yielding areas of the market, while Momentum has continued to recover fron early summer steep unwind. Cheap Value has extended its outperformance while giving up the lead to High Yield more recently, which is now the clear leader on the long side. High Growth has delivered more modest gains, while High Quality and Large Size have remained broadly flat. High Vol performance remains subdued. On the short side, Low Momentum has gave up most of it advance since early September, while Low Quality, Low Growth and Small Caps have outperformed. Expensive Value has stabilized but remains weak. Low Yield remain among the weaker short exposures, while Low Vol has recently seen some acceleration working as pure hedge amid EU equities wobbles.

FIGURE 41. Barclays European factor performance: long leg



Source: Bloomberg, Barclays Research

FIGURE 42. Barclays European factor performance: short leg



Source: Bloomberg, Barclays Research

European Factors Landscape

Factor allocation

FIGURE 43. Current Europe factor recommendations and rationale

Factor	Description	Recomm.	Rationale
Value	Cheap	Positive	Fiscal concerns have widened sovereign spreads and delayed Value leadership. Any spread compression, alongside improving earnings breadth, would favour the factor.
Momentum	High Px Mom	Neutral	Positioning has reset and crowding is low. AI remains the key catalyst, but stronger newsflow is needed to turn more constructive.
Size	Small	Neutral	Broader earnings beats are historically supportive for Small Caps, though macro visibility and financing costs remain constraints.
Growth	High Growth	Neutral	Improving earnings breadth is supportive, but elevated bond yields continue to limit upside.
Volatility	Low Vol	Neutral	Low Vol remains a useful hedge, but improving earnings breadth reduces the case for a defensive overweight.
Quality	High Quality	Negative	Broader earnings participation reduces the appeal of Quality's defensive characteristics, while relative valuations remain unappealing.

Note: Positive: We recommend increasing exposure to the factor. Neutral: We recommend maintaining exposure to the factor. Negative: We recommend decreasing exposure to the factor.
Source: Barclays Research

Factor performance across macro/market regimes

FIGURE 44. Barclays EU Factors - 4-week forward relative return by Global CESI regime

Barc EU Factors - 4w forward relative return by Global CESI regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	1.0%	0.3%	0.2%	-0.1%	0.2%	0.1%	0.2%	-0.1%
High	Increase	Slow	0.5%	0.1%	0.3%	0.0%	0.3%	0.1%	0.4%	0.0%
High	Decrease	Fast	0.1%	0.3%	0.1%	0.0%	0.0%	0.5%	0.4%	0.0%
High	**Decrease**	**Slow**	**0.2%**	**0.4%**	**0.6%**	**0.0%**	**0.4%**	**0.0%**	**0.4%**	**-0.1%**
Low	Increase	Fast	0.4%	-0.3%	0.2%	0.2%	0.0%	0.0%	-0.2%	0.1%
Low	Increase	Slow	0.8%	-0.1%	-0.4%	0.8%	-0.4%	0.5%	0.0%	0.6%
Low	Decrease	Fast	0.4%	-0.4%	0.2%	0.5%	0.1%	0.2%	0.1%	0.0%
Low	Decrease	Slow	-0.8%	0.4%	0.3%	-0.3%	0.4%	0.0%	-0.1%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change
Source: Bloomberg, Barclays Research

FIGURE 45. Barclays EU Factors - 4-week forward relative return by Global Inflation Surprise regime

Barc EU Factors - 4w forward relative return by Global Inflation Surprise regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	**Increase**	**Fast**	**-0.4%**	**0.6%**	**0.3%**	**-0.3%**	**0.5%**	**0.1%**	**0.4%**	**0.4%**
High	Increase	Slow	0.8%	-0.3%	-0.1%	-0.1%	-0.1%	0.1%	-0.1%	-0.4%
High	Decrease	Fast	-0.5%	-0.4%	0.1%	0.1%	-0.3%	0.0%	-0.3%	1.0%
High	Decrease	Slow	0.4%	-0.1%	0.7%	0.8%	0.3%	0.6%	0.4%	0.1%
Low	Increase	Fast	0.3%	0.0%	-0.1%	-0.2%	0.0%	-0.1%	-0.3%	-0.1%
Low	Increase	Slow	0.5%	0.5%	0.7%	0.0%	0.3%	-0.1%	0.4%	0.1%
Low	Decrease	Fast	1.1%	-0.1%	0.0%	-0.1%	0.0%	-0.1%	-0.2%	-0.2%
Low	Decrease	Slow	0.0%	0.3%	0.4%	0.2%	0.3%	0.0%	0.3%	0.2%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change
Source: Bloomberg, Barclays Research

FIGURE 46. Barclays EU Factors - 4-week forward relative return by VIX regime

Barc EU Factors - 4w forward relative return by VIX regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	Increase	Fast	0.6%	0.4%	0.5%	0.3%	0.3%	0.2%	0.3%	-0.1%
High	Increase	Slow	-0.7%	0.4%	0.3%	-0.7%	0.5%	-0.3%	-0.1%	0.5%
High	Decrease	Fast	1.6%	-0.6%	0.0%	0.3%	-0.3%	0.3%	0.5%	-0.6%
High	Decrease	Slow	0.0%	-0.1%	0.3%	0.4%	0.0%	0.3%	0.4%	-0.3%
Low	Increase	Fast	0.2%	0.2%	0.1%	0.0%	0.4%	0.0%	0.0%	0.4%
Low	Increase	Slow	0.4%	0.0%	0.2%	-0.1%	0.3%	-0.2%	0.0%	0.2%
Low	Decrease	Fast	0.3%	0.1%	0.1%	0.0%	0.2%	0.1%	0.1%	0.1%
Low	**Decrease**	**Slow**	**0.0%**	**0.1%**	**0.2%**	**-0.1%**	**0.0%**	**0.1%**	**-0.1%**	**0.3%**

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

Source: Bloomberg, Barclays Research

FIGURE 47. Barclays EU Factors - 4-week forward relative return by MOVE regime

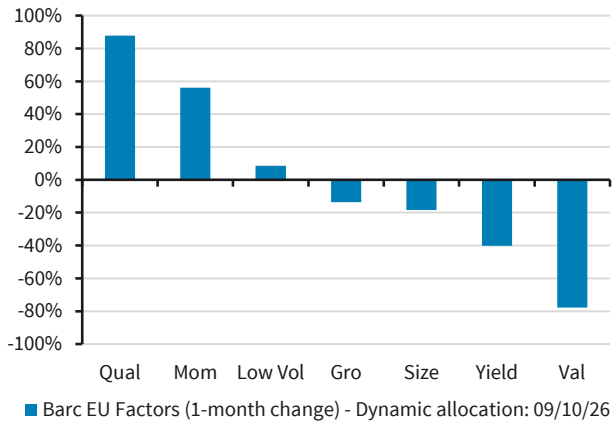
Barc EU Factors - 4w forward relative return by MOVE regime

Level	Change	Speed	SXXP	Mom	Gro	Val	Qual	Yield	Size	Low Vol
High	**Increase**	**Fast**	**0.5%**	**0.0%**	**0.5%**	**0.2%**	**0.2%**	**0.1%**	**0.2%**	**-0.3%**
High	Increase	Slow	0.8%	-0.2%	0.3%	-0.3%	0.2%	-0.1%	-0.2%	0.0%
High	Decrease	Fast	-1.3%	-0.1%	0.5%	0.1%	0.1%	0.0%	0.5%	0.5%
High	Decrease	Slow	0.2%	0.1%	0.4%	0.4%	0.0%	0.1%	-0.1%	-0.1%
Low	Increase	Fast	1.0%	0.2%	0.0%	0.6%	-0.2%	0.3%	0.2%	0.0%
Low	Increase	Slow	0.5%	0.3%	0.2%	0.5%	0.2%	0.4%	0.4%	-0.1%
Low	Decrease	Fast	-0.7%	0.2%	0.1%	-0.4%	0.6%	0.1%	0.0%	0.4%
Low	Decrease	Slow	-0.1%	0.3%	0.2%	-0.4%	0.4%	0.0%	0.0%	0.5%

52-week look back window percentile used, High, Increase and Fast are when current percentile is above 50%, change is 12-week and speed is 4-week change of 12-week change

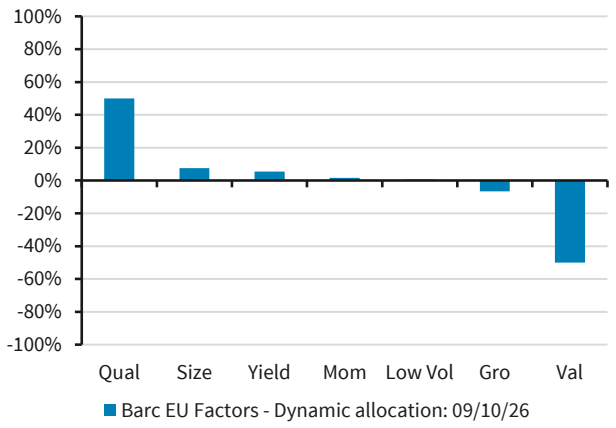
Source: Bloomberg, Barclays Research

FIGURE 48. Barclays EU Factors dynamic allocation - 1-month change



Source: Bloomberg, Barclays Research

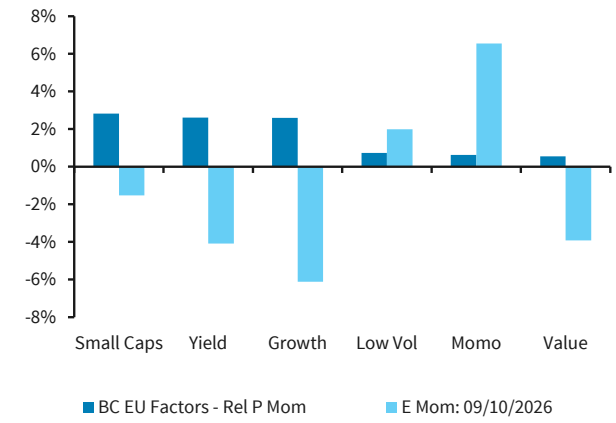
FIGURE 49. Barclays EU Factors dynamic allocation - Level



Source: Bloomberg, Barclays Research

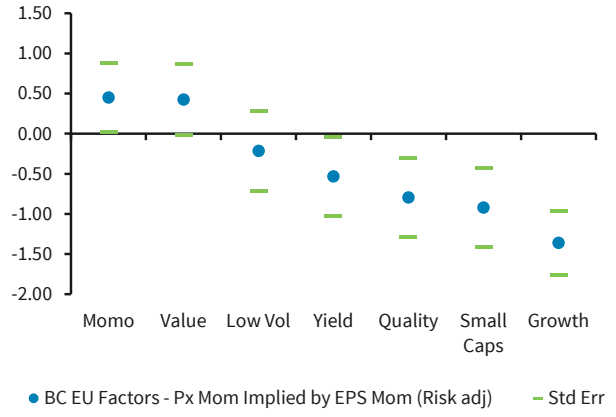
Price and earnings momentum

FIGURE 50. BC EU Factors Pair - Price and Earnings momentum



Source: Bloomberg, Barclays Research

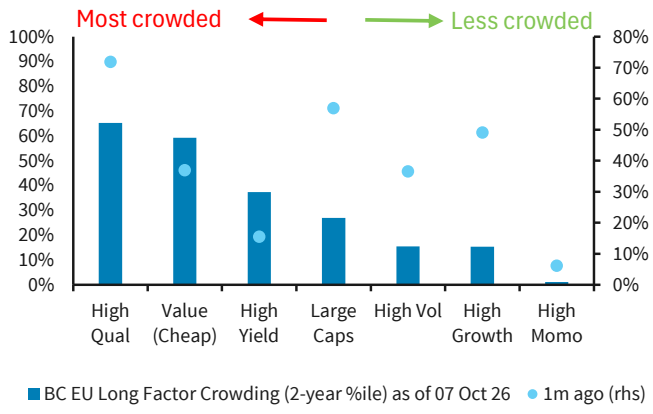
FIGURE 51. BC EU Factor Pair - Price momentum implied by Earnings momentum



Source: Bloomberg, Barclays Research

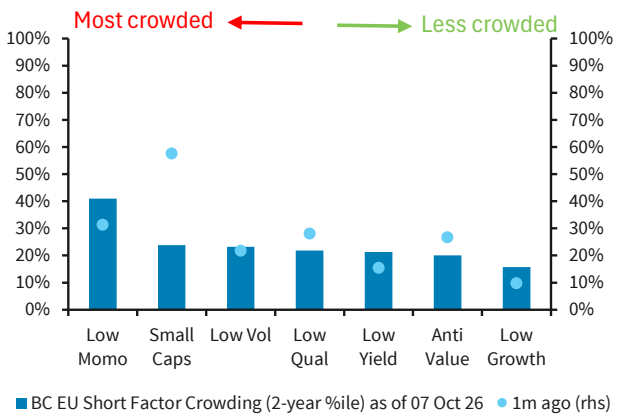
Positioning

FIGURE 52. Barclays EU Factor Long Leg - Crowding



Source: MSCI, Barclays Research

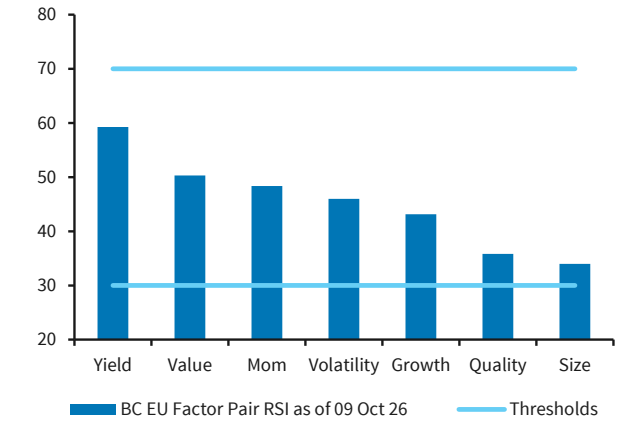
FIGURE 53. Barclays EU Factor Short Leg - Crowding



Source: MSCI, Barclays Research

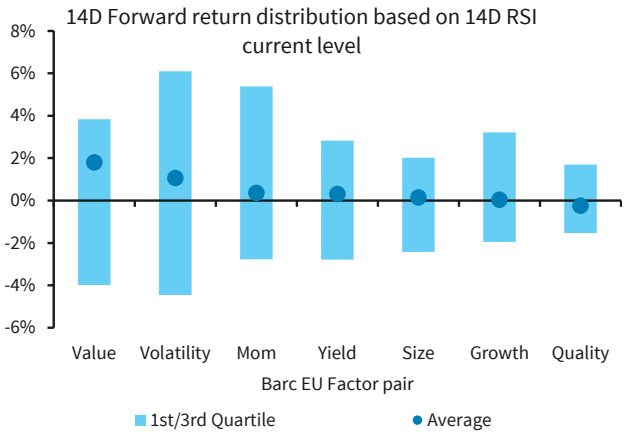
Technicals

FIGURE 54. Barclays European Factors - 14D RSI



Source: Bloomberg, Barclays Research

FIGURE 55. Barclays European Factors - 14D forward returns by 14D RSI current level



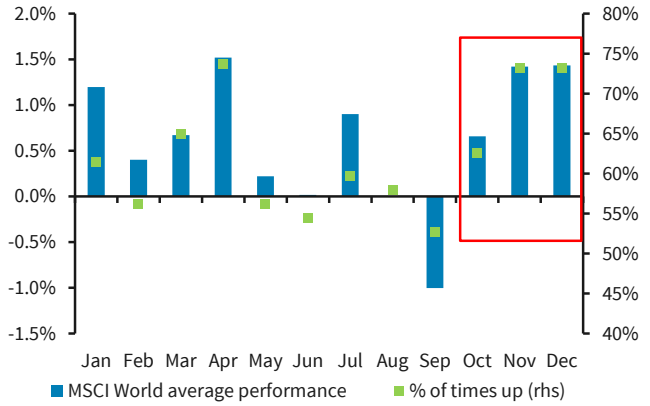
Source: Bloomberg, Barclays Research

FIGURE 56. Oct favours Vol and Value, while Mom and Quality seem to lag

Europe factor pair seasonality - Median monthly return	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Vol	0.4%	0.0%	-1.2%	1.0%	-0.2%	-1.2%	-0.8%	-0.2%	-0.5%	1.7%	1.4%	0.3%
Value	0.7%	1.1%	0.6%	0.5%	-0.3%	-0.5%	0.0%	0.4%	-0.3%	0.9%	-0.4%	0.1%
Yield	-0.3%	0.2%	0.0%	-0.1%	-0.9%	0.0%	0.2%	0.3%	1.0%	0.7%	-0.2%	0.2%
Size	-0.2%	-0.8%	-0.6%	-0.9%	-0.2%	0.2%	-0.2%	-0.8%	0.2%	0.3%	-0.1%	0.0%
Growth	1.1%	0.9%	0.1%	-0.2%	0.1%	-0.1%	0.0%	1.0%	-0.7%	-0.1%	0.4%	0.8%
Mom	0.4%	0.1%	0.4%	0.1%	1.2%	1.7%	0.3%	-0.3%	1.7%	-0.2%	0.2%	-0.1%
Quality	-0.8%	0.2%	0.3%	-0.6%	0.5%	0.7%	0.0%	0.2%	-0.5%	-1.3%	0.1%	0.4%

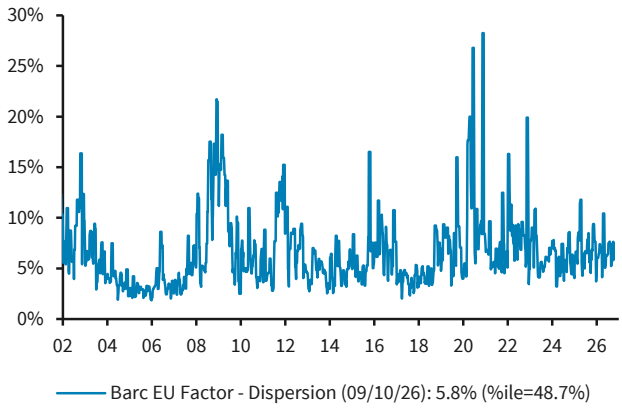
Source: Bloomberg, Barclays Research

FIGURE 57. Oct brings some seasonal relief for equities



Source: Bloomberg, Barclays Research

FIGURE 58. Barclays European factor dispersion is around the median



Source: Bloomberg, Barclays Research

FIGURE 59. Barclays European Factors - 3-month correlation

Barc EU Factors - 3-month correlation	Value	Growth	Quality	Mom	Low Vol	Size
Value		62%	71%	52%	78%	73%
Growth	62%		91%	85%	61%	91%
Quality	71%	91%		76%	77%	90%
Mom	52%	85%	76%		48%	82%
Low Vol	78%	61%	77%	48%		66%
Size	73%	91%	90%	82%	66%	

Source: Bloomberg, Barclays Research

FIGURE 60. Barclays EU factors constituents overlap

Barc EU Factors - Constituents overlap

	Value (Cheap)	High Growth	High Quality	High Yield	High Momentum	High Volatility	Large Size	Anti-Value (Expensive)	Low Growth	Low Quality	Low Yield	Low Momentum	Low Volatility	Small Size
Value (Cheap)		7%	6%	25%	10%	19%	2%		21%	24%	10%	24%	5%	37%
High Growth	7%		21%	3%	17%	27%	7%	32%		7%	28%	7%		37%
High Quality	6%	22%		10%	13%	13%	14%	29%	7%		9%	15%	13%	39%
High Yield	23%	3%	10%		7%	9%	3%	7%	21%	14%		29%	12%	39%
High Momentum	9%	16%	12%	7%		24%	4%	10%	11%	19%	20%		4%	31%
High Volatility	16%	24%	11%	8%	22%		3%	18%	10%	24%	40%	21%		58%
Large Size	4%	12%	24%	6%	8%	6%		24%	16%	4%	8%	6%	16%	
Anti-Value (Expensive)		35%	30%	7%	11%	22%	15%		9%	7%	26%	9%	15%	26%
Low Growth	23%		8%	24%	13%	13%	10%	9%		18%	8%	21%	18%	29%
Low Quality	22%	7%		15%	19%	27%	2%	7%	16%		27%	13%	6%	40%
Low Yield	8%	25%	8%		18%	40%	4%	21%	6%	24%		7%	9%	42%
Low Momentum	21%	6%	14%	28%		22%	3%	7%	18%	13%	7%		9%	44%
Low Volatility	5%		14%	14%	5%		10%	15%	18%	6%	12%	12%		15%
Small Size	16%	17%	18%	19%	15%	31%		11%	12%	19%	22%	22%	6%	

Source: Bloomberg, Barclays Research

FIGURE 61. Barclays EU factors and sectors constituents overlap

Barc EU Factors - Constituents overlap

	Fd/Bev/Tob	Health Care	Cons Prod/Svs	Energy	Chemicals	Travel & Leisure	Media	Fin Svs	Autos	Telcos	Utilities	Basic Resources	Real Estate	Insurance	Cap Goods	Banks	Cons Mats	Retail	Tech
Value (Cheap)	8%	17%	4%	7%	17%	15%	25%	3%	31%	5%	10%	5%	11%	14%	7%	11%	13%	8%	9%
High Growth	15%	11%	15%	0%	11%	15%	13%	16%	0%	0%	14%	14%	19%	0%	11%	16%	3%	0%	23%
High Quality	12%	9%	26%	7%	11%	8%	25%	22%	0%	0%	10%	18%	11%	4%	9%	5%	6%	17%	20%
High Yield	12%	13%	7%	7%	11%	8%	0%	11%	23%	15%	14%	14%	11%	11%	11%	8%	6%	8%	11%
High Momentum	19%	11%	11%	11%	6%	0%	25%	5%	15%	0%	17%	5%	15%	7%	11%	15%	6%	8%	9%
High Volatility	15%	7%	11%	11%	6%	0%	25%	19%	15%	15%	7%	14%	7%	0%	8%	6%	10%	17%	9%
Large Size	8%	11%	15%	7%	6%	0%	0%	5%	8%	15%	10%	14%	7%	7%	8%	10%	3%	8%	11%
Anti-Value (Expensive)	12%	11%	26%	7%	17%	0%	0%	24%	0%	5%	14%	9%	19%	0%	11%	8%	6%	17%	17%
Low Growth	15%	11%	11%	15%	11%	0%	0%	22%	23%	20%	14%	5%	11%	21%	10%	0%	13%	0%	6%
Low Quality	8%	9%	11%	0%	11%	8%	25%	11%	15%	10%	17%	14%	11%	0%	10%	13%	6%	8%	11%
Low Yield	8%	11%	11%	15%	6%	0%	0%	16%	8%	15%	21%	18%	11%	7%	7%	6%	10%	8%	9%
Low Momentum	8%	13%	4%	4%	0%	0%	13%	19%	15%	10%	14%	5%	11%	21%	12%	2%	13%	0%	14%
Low Volatility	4%	13%	0%	15%	11%	0%	0%	5%	23%	25%	14%	9%	15%	25%	13%	5%	10%	25%	9%
Small Size	23%	4%	4%	7%	6%	0%	13%	35%	0%	10%	14%	14%	11%	4%	9%	8%	13%	25%	9%

STOXX 600 sectors
Source: Bloomberg, Barclays Research

FIGURE 62. Barclays EU factors and thematics baskets constituents overlap

Barc EU Factors - Constituents overlap

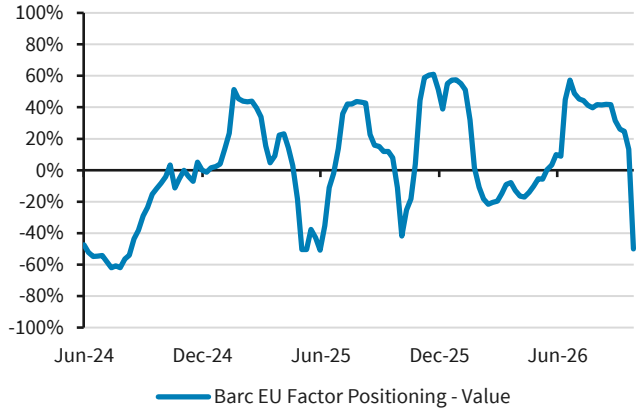
	US tariff-exposed	EU exporters	EU Domestics	Ukraine Ceasefire	Germany revival	EU Defence	EU AI Enablers	EU AI Losers	Short cycle	SXXP consumer	EU Inflation Long	EU Inflation Short	EU Duration Long	EU Duration Short	EU Luxury
Value (Cheap)	7%	10%	6%	2%	11%	0%	0%	4%	5%	13%	6%	5%	1%	6%	0%
High Growth	0%	9%	2%	2%	8%	3%	7%	4%	2%	9%	3%	9%	7%	6%	1%
High Quality	2%	16%	1%	1%	3%	2%	5%	6%	5%	9%	3%	6%	3%	2%	3%
High Yield	5%	8%	1%	0%	0%	0%	2%	3%	4%	10%	5%	2%	1%	4%	0%
High Momentum	4%	10%	2%	1%	3%	0%	5%	3%	3%	3%	3%	4%	2%	4%	3%
High Volatility	2%	10%	2%	2%	8%	3%	10%	2%	2%	6%	4%	3%	3%	2%	2%
Large Size	6%	12%	14%	4%	4%	4%	10%	2%	12%	6%	10%	4%	4%	4%	6%
Anti-Value (Expensive)	4%	10%	2%	0%	5%	4%	7%	4%	6%	7%	10%	6%	7%	1%	6%
Low Growth	6%	6%	6%	4%	9%	0%	3%	3%	6%	6%	3%	9%	3%	4%	0%
Low Quality	3%	6%	3%	2%	4%	1%	4%	2%	2%	8%	9%	2%	3%	9%	2%
Low Yield	1%	10%	3%	1%	4%	1%	9%	0%	5%	10%	9%	7%	7%	2%	5%
Low Momentum	2%	8%	2%	3%	7%	4%	0%	1%	1%	4%	1%	3%	4%	1%	2%
Low Volatility	3%	3%	1%	0%	1%	0%	3%	1%	3%	14%	4%	1%	3%	0%	0%
Small Size	0%	4%	1%	1%	2%	1%	3%	2%	0%	8%	0%	1%	2%	0%	1%

Source: Bloomberg, Barclays Research

European Factor Legs

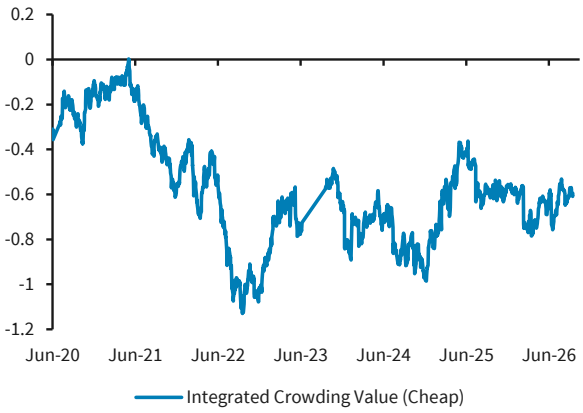
Barclays EU Value

FIGURE 63. Barclays EU Value - Dynamic allocation



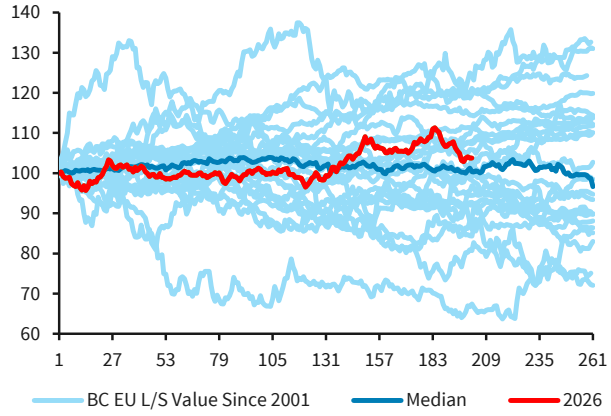
Source: Barclays Research

FIGURE 64. Barclays EU Value - Crowding



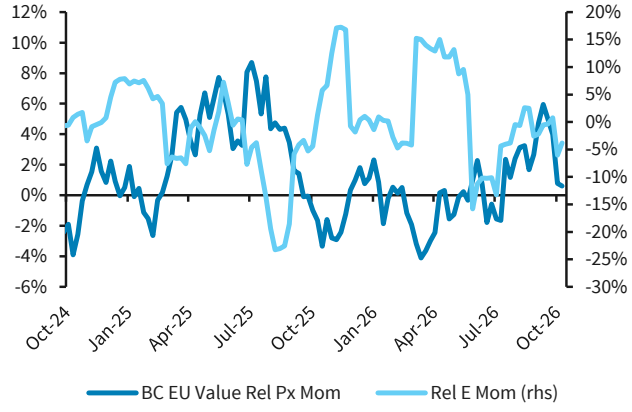
Source: MSCI, Barclays Research

FIGURE 65. Barclays EU Value - Performance vs past



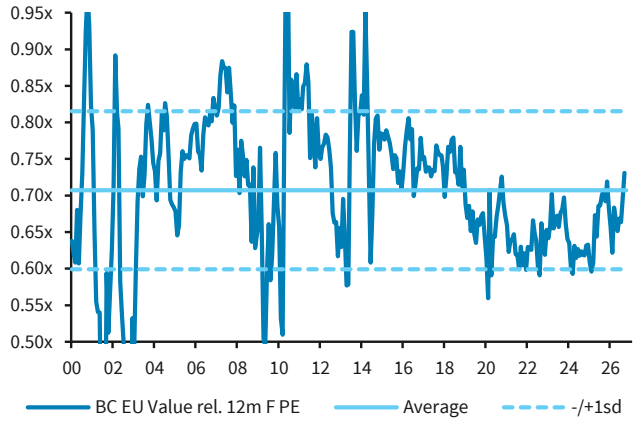
Source: Bloomberg, Barclays Research

FIGURE 66. Barclays EU Value - Relative price momentum vs earnings momentum



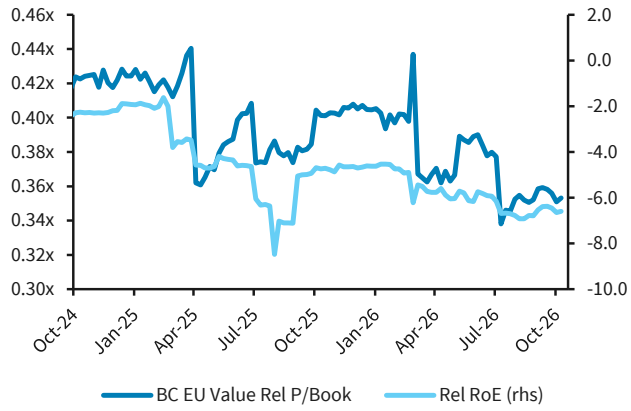
Source: Bloomberg, Barclays Research

FIGURE 67. **Barclays EU Value - Relative 12m F PE**



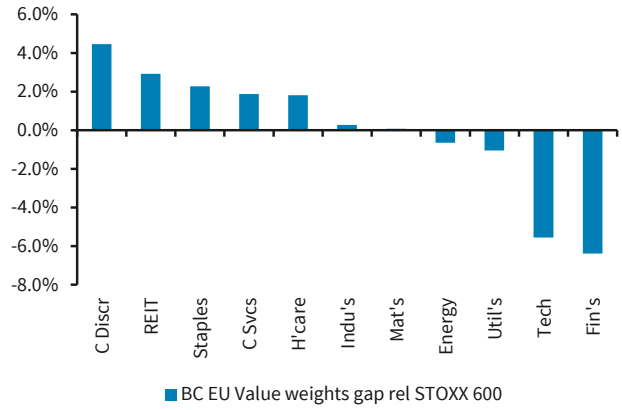
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 68. **Barclays EU Value - Relative P/Book vs RoE**



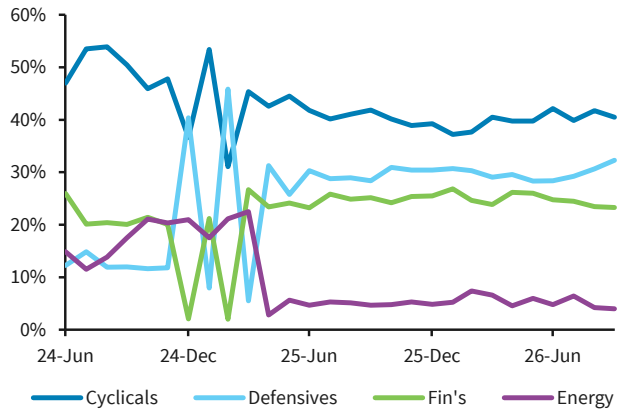
Source: Bloomberg, Barclays Research

FIGURE 69. **Barclays EU Value - Sector allocation vs STOXX 600**



Source: Bloomberg, Barclays Research

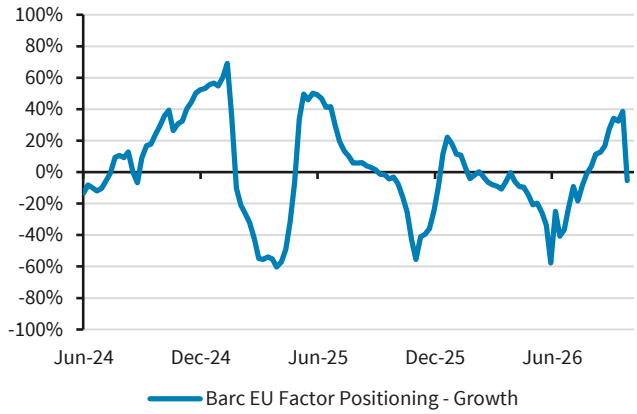
FIGURE 70. **Barclays EU Value - Sector allocation**



Source: Bloomberg, Barclays Research

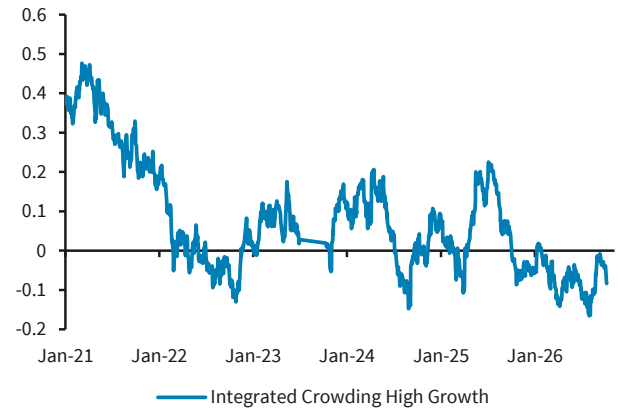
Barclays EU Growth

FIGURE 71. **Barclays EU Growth - Dynamic allocation**



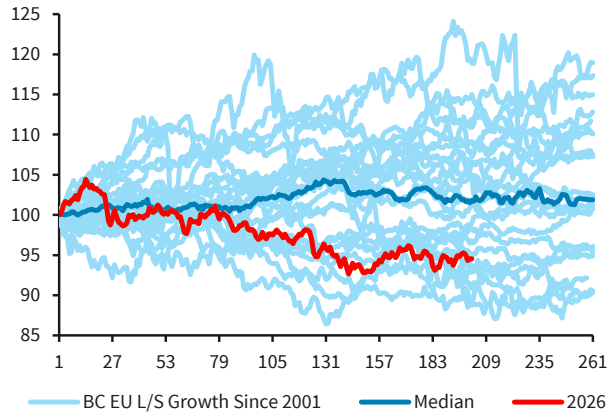
Source: Barclays Research

FIGURE 72. **Barclays EU Growth – Crowding**



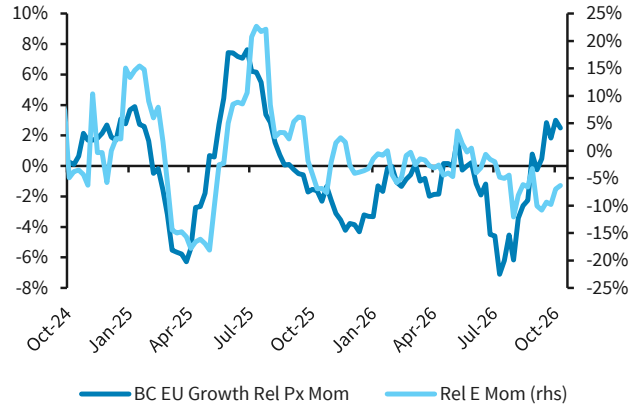
Source: MSCI, Barclays Research

FIGURE 73. Barclays EU Growth - Performance vs past



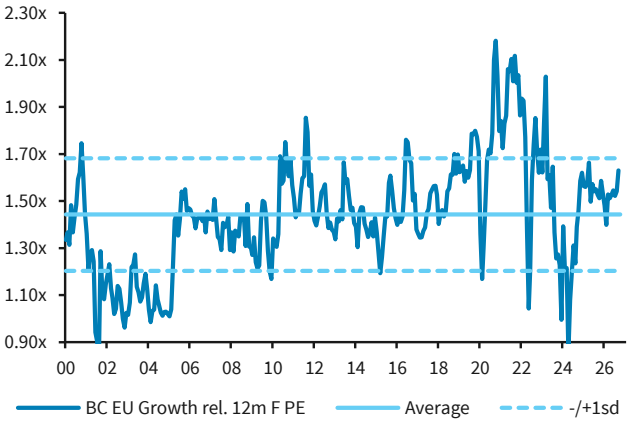
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 74. Barclays EU Growth - Relative price momentum vs earnings momentum



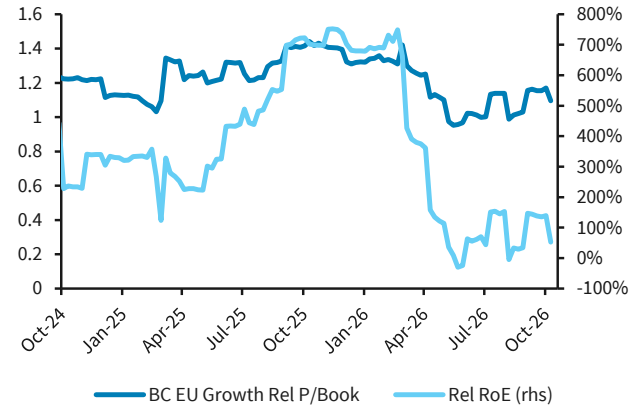
Source: Bloomberg, Barclays Research

FIGURE 75. Barclays EU Growth - Relative 12m F PE



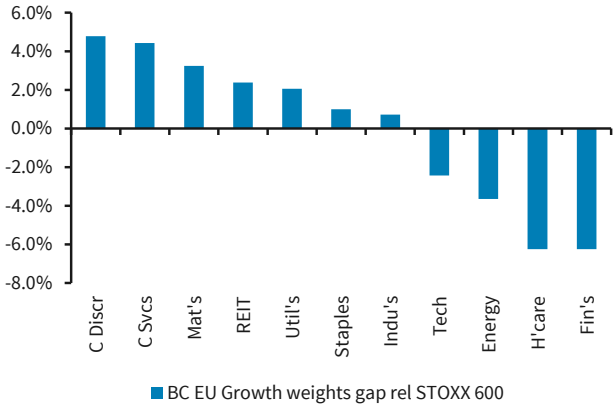
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 76. Barclays EU Growth - Relative P/Book vs RoE



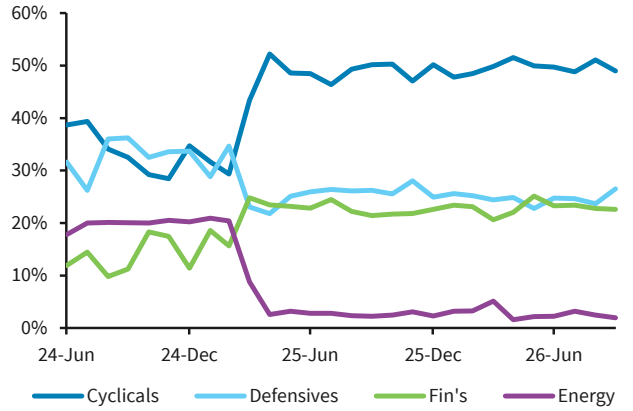
Source: Bloomberg, Barclays Research

FIGURE 77. Barclays EU Growth - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

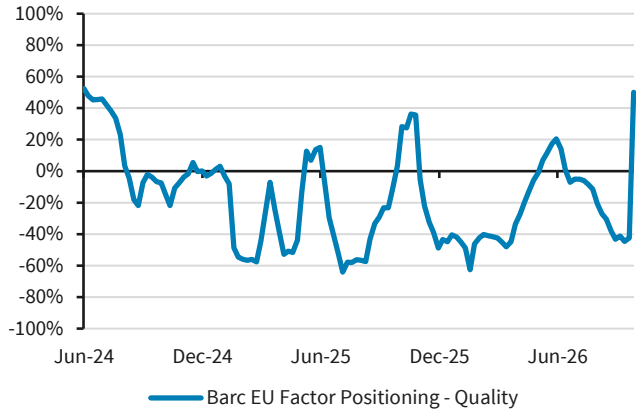
FIGURE 78. Barclays EU Growth - Sector allocation



Source: Bloomberg, Barclays Research

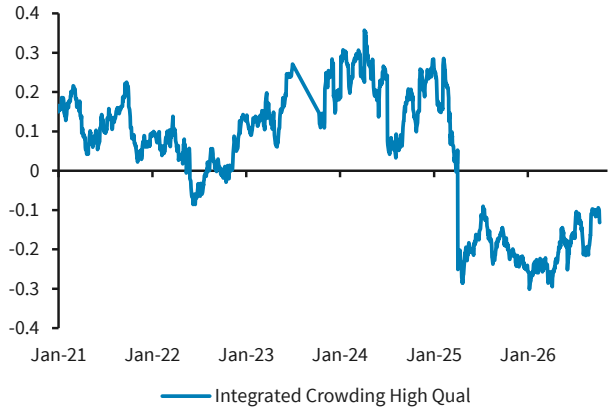
Barclays EU Quality

FIGURE 79. Barclays EU Quality - Dynamic allocation



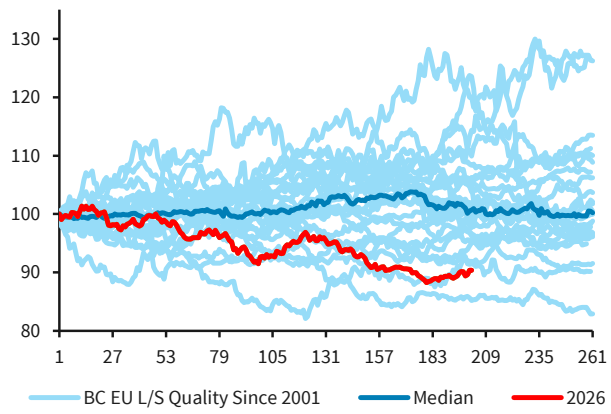
Source: Barclays Research

FIGURE 80. Barclays EU Quality – Crowding



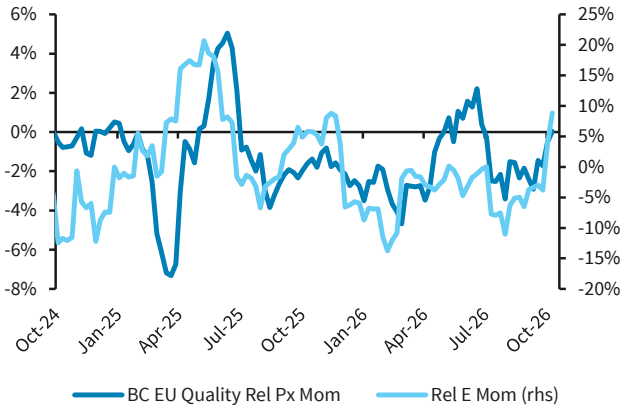
Source: MSCI, Barclays Research

FIGURE 81. Barclays EU Quality - Performance vs past



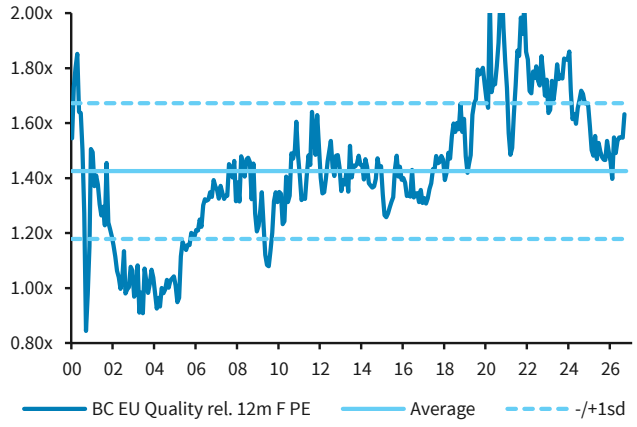
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 82. Barclays EU Quality - Relative price momentum vs earnings momentum



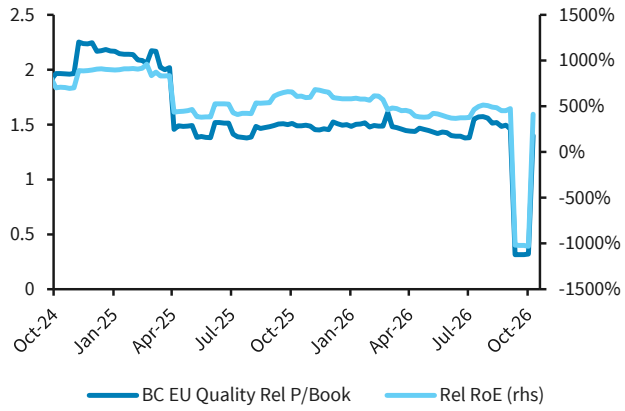
Source: Bloomberg, Barclays Research

FIGURE 83. Barclays EU Quality - Relative 12m F PE



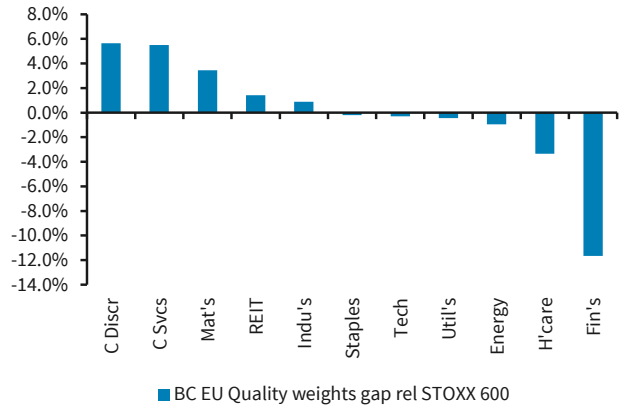
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 84. Barclays EU Quality - Relative P/Book vs RoE



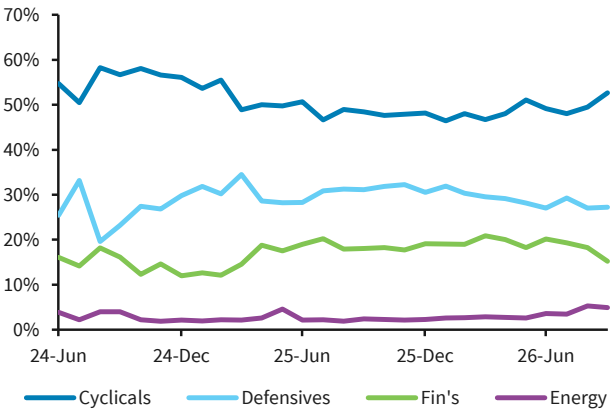
Source: Bloomberg, Barclays Research

FIGURE 85. Barclays EU Quality - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

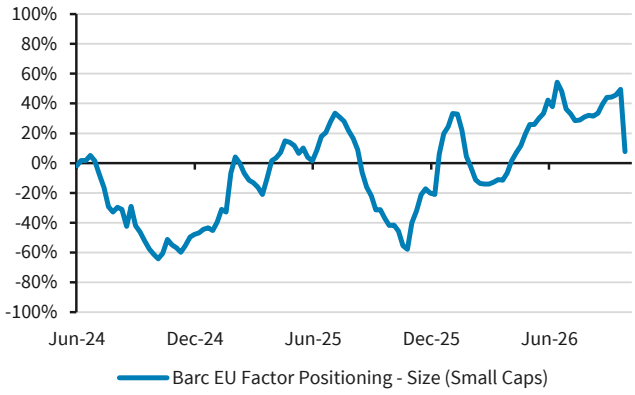
FIGURE 86. Barclays EU Quality - Sector allocation



Source: Bloomberg, Barclays Research

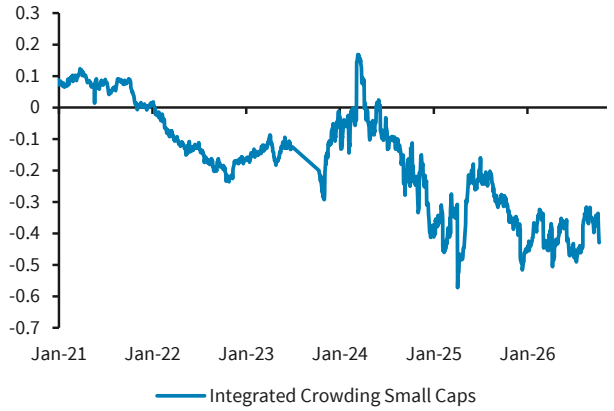
Barclays EU Size (Small Caps)

FIGURE 87. Barclays EU Small Caps - Dynamic allocation



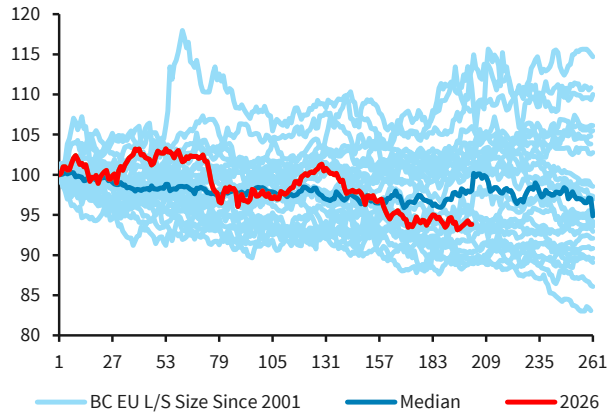
Source: Barclays Research

FIGURE 88. Barclays EU Small Caps – Crowding



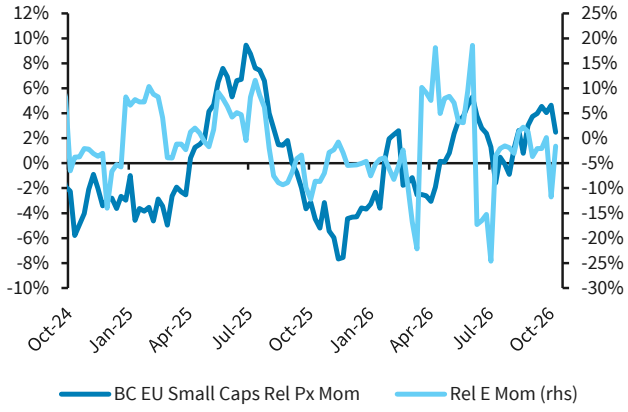
Source: MSCI, Barclays Research

FIGURE 89. Barclays EU Size - Performance vs past



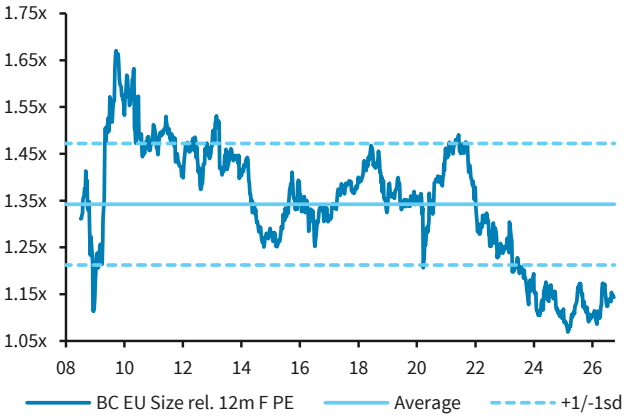
Size = Long Large Caps/Short Small Caps
Source: Bloomberg, Barclays Research

FIGURE 90. Barclays EU Small Caps - Relative price momentum vs earnings momentum



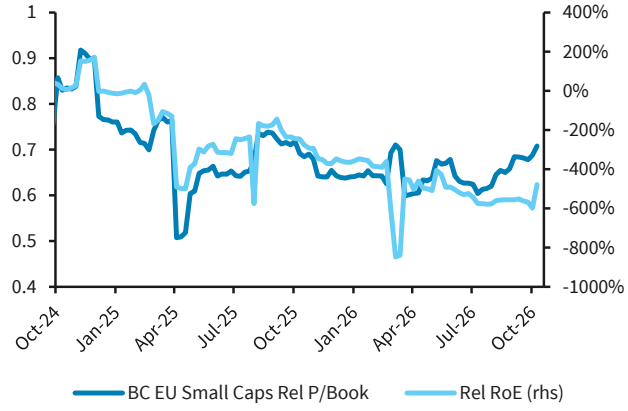
Source: Bloomberg, Barclays Research

FIGURE 91. Barclays EU Small Caps - Relative 12m F PE



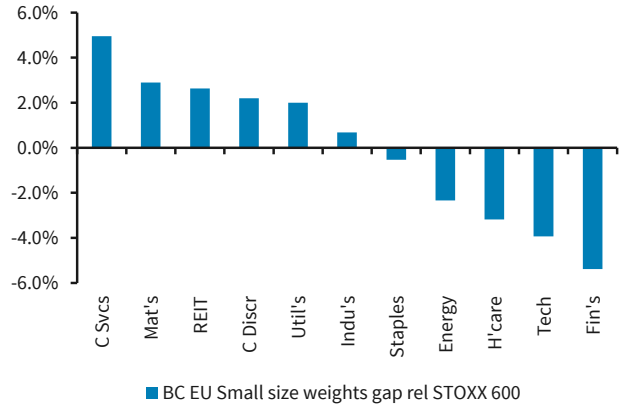
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 92. Barclays EU Small Caps - Relative P/Book vs RoE



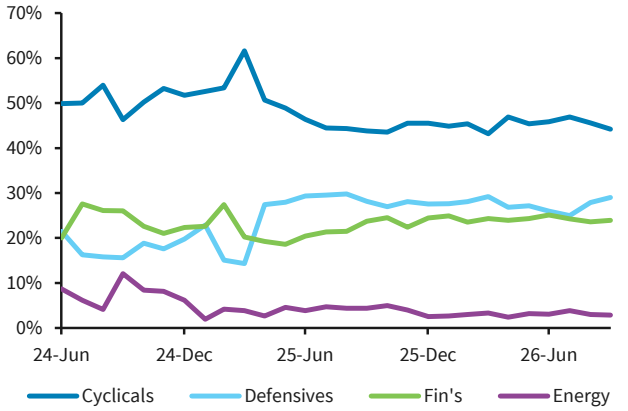
Source: Bloomberg, Barclays Research

FIGURE 93. Barclays EU Small Caps - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

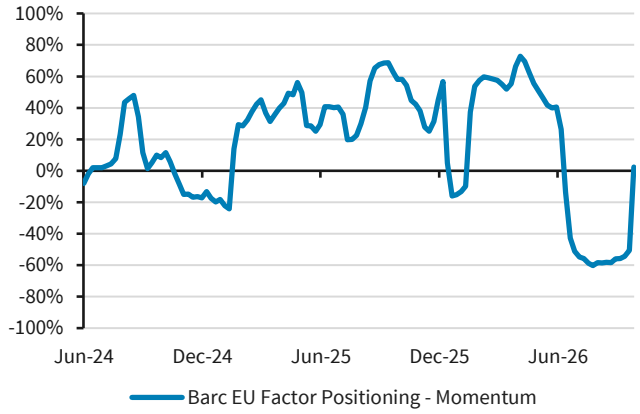
FIGURE 94. Barclays EU Small Caps - Sector allocation



Source: Bloomberg, Barclays Research

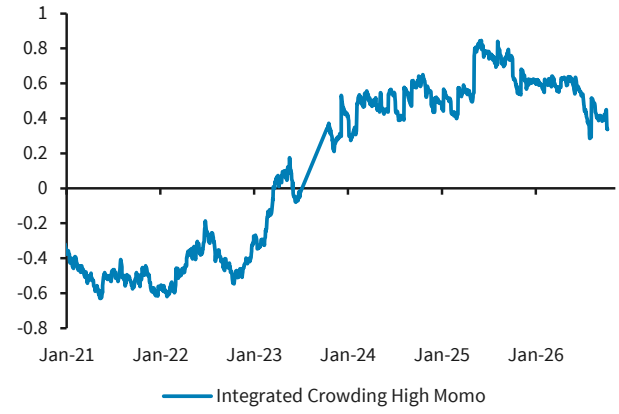
Barclays EU Momentum

FIGURE 95. Barclays EU Momentum - Dynamic allocation



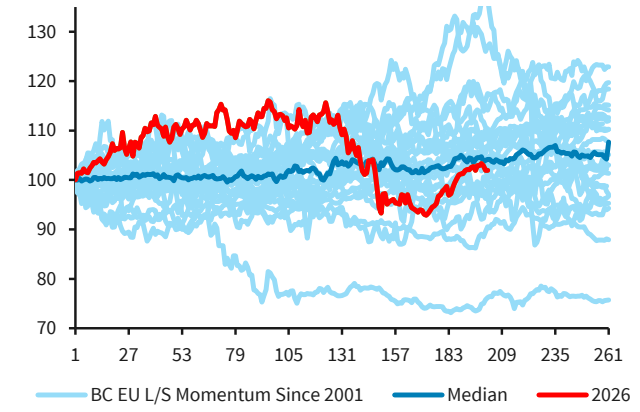
Source: Barclays Research

FIGURE 96. Barclays EU Momentum – Crowding



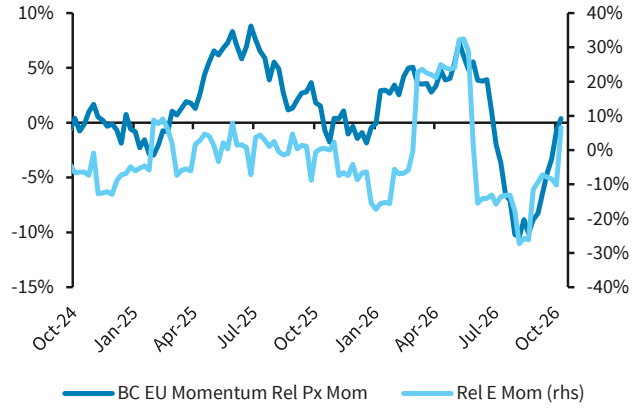
Source: MSCI, Barclays Research

FIGURE 97. Barclays EU Momentum - Performance vs past



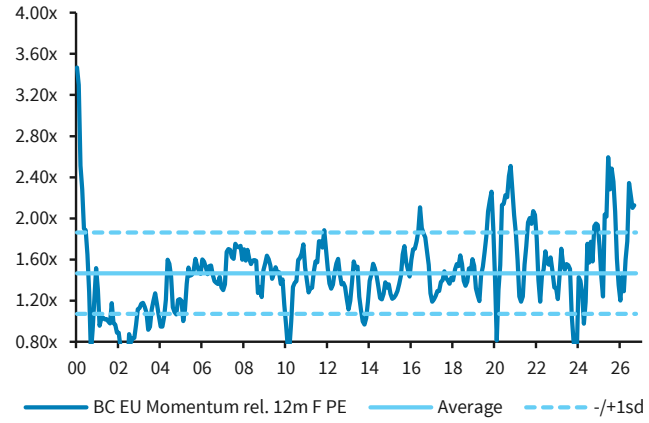
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 98. Barclays EU Momentum - Relative price momentum vs earnings momentum



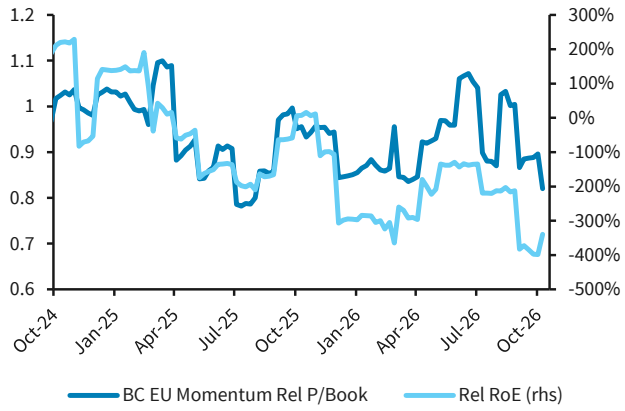
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 99. Barclays EU Momentum - Relative 12m F PE



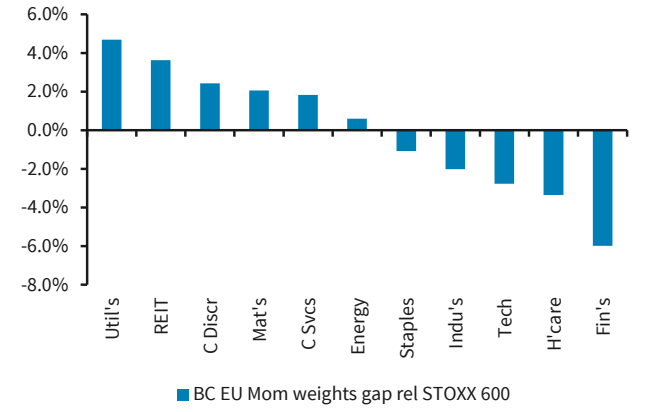
Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 100. Barclays EU Momentum - Relative P/Book vs RoE



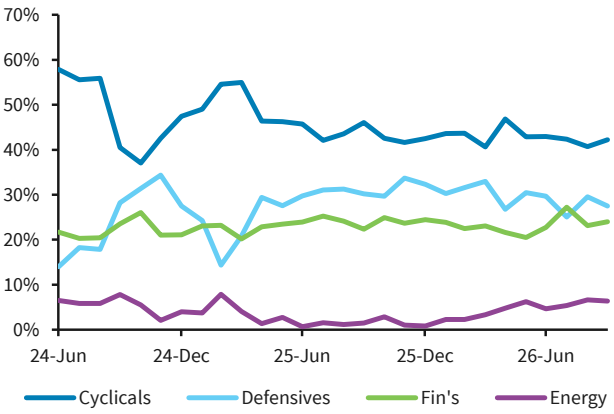
Source: Bloomberg, Barclays Research

FIGURE 101. Barclays EU Momentum - Sector allocation vs STOXX 600



Source: Bloomberg, Barclays Research

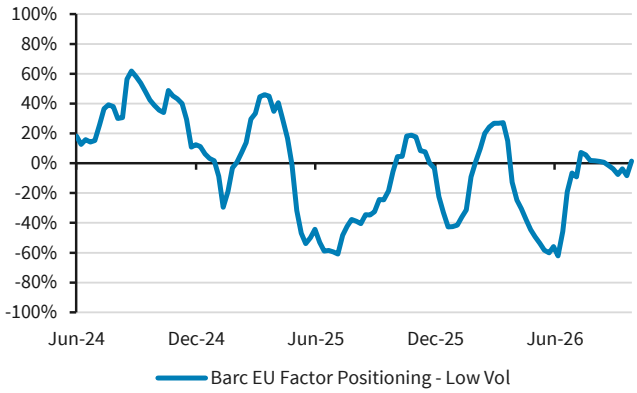
FIGURE 102. Barclays EU Momentum - Sector allocation



Source: Bloomberg, Barclays Research

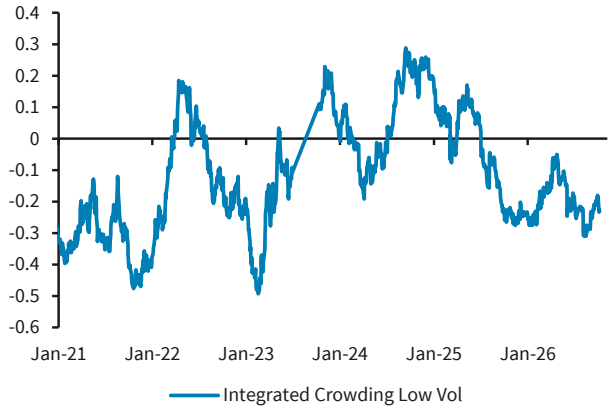
Barclays EU Low Volatility

FIGURE 103. Barclays EU Low Vol - Dynamic allocation



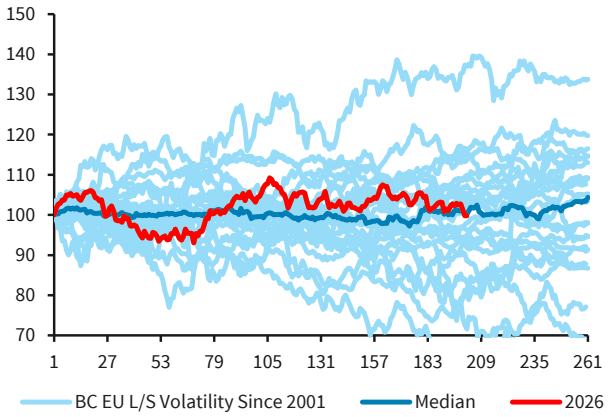
Source: Barclays Research

FIGURE 104. Barclays EU Low Vol – Crowding



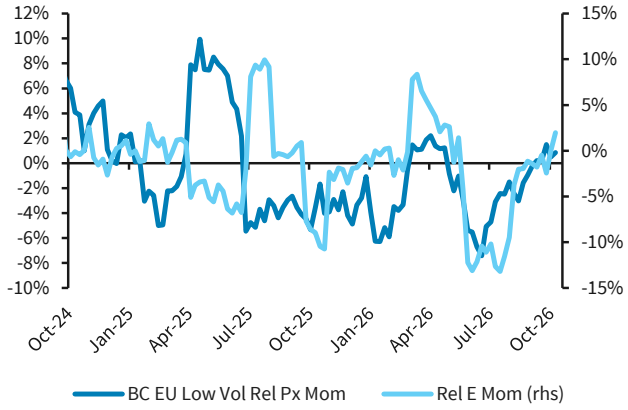
Source: MSCI, Barclays Research

FIGURE 105. Barclays EU Volatility - Performance vs past



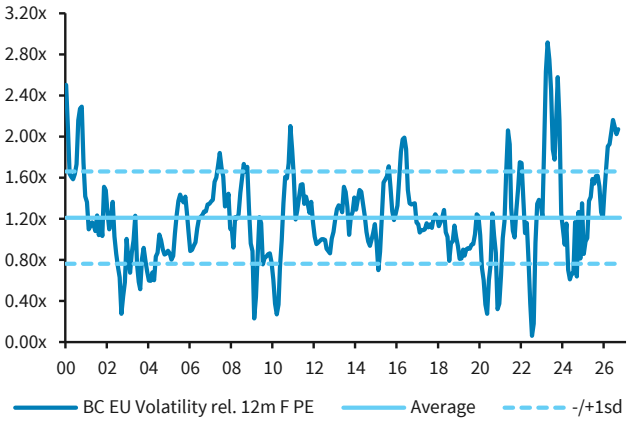
Source: Bloomberg, LSEG Data & Analytics, Barclays Research

FIGURE 106. Barclays EU Low Vol - Relative price momentum vs earnings momentum



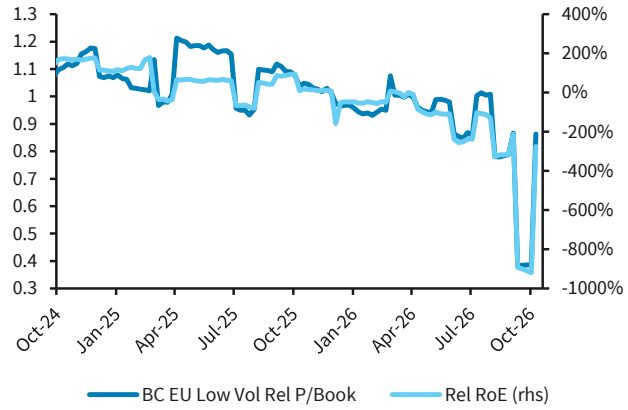
Source: Bloomberg, Barclays Research

FIGURE 107. Barclays EU Low Vol - Relative 12m F PE



Source: IBES, LSEG Data & Analytics, Barclays Research

FIGURE 108. Barclays EU Low Vol - Relative P/Book vs RoE



Source: Bloomberg, Barclays Research

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